

Comparative analysis of India Formulations business across players over FY23-25

In this report, we compare the India Formulations business of 21 pharma companies, across 16 different operating parameters including market share (MS) gains in the India Pharma Market (IPM), contribution of volume + new launches growth to overall India business growth, exposure to faster-growing Chronic therapies and growth in the Chronic portfolio, ability to create large brands, NLEM revenue exposure, sales rep productivity, and organic growth delivered in the India business over the past 5 years.

Our FY23-25 analysis of the India Formulations business indicates that Sun Pharma, JB Pharma, Ipca, Glenmark, Abbott and Torrent's India business ranks the best, on a consolidated score across these 16 various operating metrics (equal-weighted), while Indoco, GSK, Sanofi, Alembic and Emcure's India business ranks the least. Although Mankind, Alkem and Cipla had also scored highly across these 16 operating metrics in our last year's analysis (FY22-24), this year all these 3 companies have fallen off the charts owing to muted growth in the Acute therapies and their underperformance over the past 2 years. Comparatively, ramp-up in the Chronic portfolio and outperformance vs the Chronic market has led to Sun & Ipca gaining 20-30bps MS and Mankind & JB gaining 15-20bps MS in the Chronic therapies over FY23-25.

While IPM clocked 9% revenue Cagr over FY20-25ii, organic India business growth for JB Pharma has been 17% Cagr based on primary sales over FY20-25ii, while that for Ajanta and Ipca has been 13% Cagr, and for Sun, Torrent and Mankind has been 11-12% Cagr. Our preferred picks in the Pharma sector are JB Pharma, Torrent, Sun and Mankind given their strong BGx/India businesses and limited exposure to the US generic market (and, hence potential US tariffs).

IPM has grown relatively slower at 7.7% Cagr over FY23-25, owing to muted growth in the Acute therapies

While the India Pharma Market (IPM) had been consistently growing at 9-10% Cagr over FY12-22, the industry value growth has slowed to 8% Cagr over the past 2-3 years, likely owing to muted growth in the Acute therapies due to tepid price hikes for the NLEM portfolio, and partly owing to some volume impact from generic-generic substitution/increasing usage of Jan Aushadhi generics. The IPM has grown 7.7% Cagr over FY23-25, driven by volume & new launches growth of 3.5% Cagr and price increases of 4.3% Cagr. Price increases have been a bigger component of the Domestic Pharma Market's growth over the past 5-6 years, having been ~5% Cagr for IPM over FY19-25, thereby contributing to ~50-55% of industry's growth during this period.

We remain constructive on a secular 8-9% growth trend for the IPM

While growth in the Chronic therapies in the IPM has been resilient at 9.7% Cagr over FY23-25, growth in the Acute therapies has been muted at only 6.5% Cagr over the past 2 years. Despite a transient slowdown in the Acute segment over the past 2 years (likely led by low price increases for the NLEM portfolio) and concerns around generic-generic substitution/increasing usage of Jan Aushadhi generics, we remain constructive on a secular 8-9% growth trend for the IPM driven by improving rates of diagnosis across disease segments and new product launches/patent expiries in therapies such as diabetes, GLP-1s, oncology and autoimmune diseases.

We don't see any significant incremental impact on the growth of Branded Generics in India from Trade/Jan Aushadhi Generics, given Trade Generics provide pharma companies access to Tier3-5 towns in India (where availability of doctors for product promotion is anyways limited), while there are only ~15,000 Jan Aushadhi functional stores ([Jan Aushadhi](#)) across India vs ~900,000 retail chemist stores in the country. Not only Jan Aushadhi stores account for a paltry ~1.5-2% of the overall retail chemist stores in India, many of these Jan

Aushadhi stores also suffer from frequent product stockouts and are not able to fulfil the required prescriptions. Jan Aushadhi stores generated revenue of only Rs9bn in FY23 vs IPM sales of Rs2,000bn in FY23 (current IPM sales is Rs2,330bn), representing only ~0.5% of IPM sales (even after assuming 50-60% lower pricing, Jan Aushadhi stores would account for only 1-1.2% of IPM's overall volumes).

Ipca, Ajanta, Glenmark, JB Pharma and Sun Pharma have significantly outperformed IPM volume + new launches growth

Per secondary data sources, the IPM has clocked 7.7% Cagr over FY23-25, driven by volume & new launches growth of 3.5% Cagr and price increases of 4.3% Cagr. Ipca, Ajanta, Glenmark, JB Pharma and Sun Pharma have significantly outperformed IPM volume + new launches growth, with volume + new introductions (NI) of these companies growing at ~5.5-6.5% Cagr over FY23-25 vs. IPM volume + NI growth of ~3.5% Cagr.

Volume outperformance for Ipca, JB, Glenmark, Sun and Ajanta has been driven by ramp-up in their Chronic portfolios in the domestic market and expansion in the covered market (CVM) presence. Sun Pharma's volume outperformance has likely been driven by ~35-40% expansion in Sun's India field force over FY20-25. However, most of the other large Indian pharma players have struggled to outperform IPM volume + new launches growth, with Emcure, GSK, Sanofi, Torrent, Lupin, Alkem and Mankind's India volume + new launches growing at only ~0.8-2.8% Cagr over FY23-25 vs. IPM volume + NI growth of ~3.5% Cagr.

Volume growth + new launches have accounted for 50-55% of India business growth for Ipca, Ajanta, Glenmark, JB and Sun over FY23-25 vs 45% for the IPM

With Ipca, Ajanta, Glenmark, JB and Sun significantly outperforming IPM volume + new launches growth, domestic business growth for these five companies has been driven more by volume growth and new launches rather than price increases. Volume growth and new launches have accounted for 50-55% of Ipca, Ajanta, Glenmark, JB

and Sun's India business growth over FY23-25 vs 45% for the IPM. For Corona Remedies and FDC, contribution of volume growth and new launches to their overall India business growth has been even better at 75% and 60% resp. over FY23-25.

Comparatively, price increases have been a bigger contributor to India business growth for most other companies, including Indoco, Alembic, GSK, Torrent, Emcure and Lupin for whom price increases have accounted for 70-100% of their India business growth over the past 2 years.

Strong volume growth has driven market share (MS) gains for Sun, Ipca, JB Pharma, Glenmark and Ajanta, thereby allowing them to significantly outperform IPM value growth

Per secondary data sources – Corona, Ipca, JB, Glenmark, Ajanta and Sun's India business have grown at 14%, 13%, 11%, 10%, 10% and 10% Cagr resp. over FY23-25, vs IPM growth of 7.7% Cagr, with these companies outperforming market growth by ~180-580bps over the past 2 years. Based on primary reported sales as well, while IPM clocked 9% revenue Cagr over FY20-25ii, organic India business growth for JB Pharma has been 17% Cagr based on primary sales over FY20-25ii, while that for Ajanta and Ipca, has been 13% Cagr, and for Sun, Torrent and Mankind has been 11-12% Cagr.

Volume-driven outperformance has led to ~20-25bps gains in MS for Sun & Ipca and ~6-9bps gains in MS for JB Pharma, Glenmark & Corona over the past 2 years. We expect Sun, Torrent and Mankind's India businesses to continue their robust growth momentum of ~11-12% organic revenue Cagr, and JB Pharma and Ipca's India businesses will likely grow strongly at ~13% Cagr over FY25-28ii, driven by strong focus on volume-led growth and further scale-up in the Chronic portfolios of these companies.

Sun, Ipca, Mankind and JB Pharma have seen the maximum gains in Chronic MS over FY23-25

While the faster-growing Chronic therapies account for ~39% of the IPM, few companies such as Lupin, Cipla, Eris, Sanofi, Torrent and Sun Pharma derive ~53-63% of their overall India Formulation sales from Chronic products. Although Chronic therapies have grown at 9.7% Cagr in the IPM over FY23-25, Sanofi, Lupin, Cipla, Alkem, Eris, Emcure and Dr. Reddy's Chronic portfolio in India has grown only at ~1-9% Cagr during this period, thereby underperforming Chronic market growth. Dr. Reddy's, Sanofi, Lupin, Cipla, Eris and Emcure have lost ~12-33bps MS in the Chronic segment over FY23-25.

Comparatively, Corona Remedies, Ipca and JB Pharma have significantly outperformed Chronic market growth, with their Chronic portfolios growing at 21%, 18%, 16% Cagr resp. over FY23-25, vs IPM Chronic market growth of 9.7% Cagr, thereby outperforming Chronic market growth by 600-1100bps over the past 2 years. Even Glenmark, Mankind and Sun's Chronic business has grown at 11-13% Cagr over FY23-25, thereby outperforming Chronic market growth by 170-330bps over the past 2 years.

Ramp-up in the Chronic portfolio and outperformance vs the Chronic market has led to Sun & Ipca gaining ~20-30bps MS and Mankind & JB gaining ~15-20bps MS in the Chronic therapies over FY23-25. We briefly highlight the growth trends within key Chronic therapies of Cardiac, Diabetes and CNS/Neurology below:

- **Cardiac market: Among the top-10 companies – Glenmark, Mankind and JB Pharma have seen maximum MS gains of 40-70bps over FY23-25**

While the Cardiac market in India has grown at 11% Cagr over FY23-25, Glenmark, Mankind and JB Pharma's Cardiac therapies have grown at 16-18% Cagr over the past 2 years, thereby outperforming Cardiac market growth by 550-750bps over the past 2 years. This has led to Glenmark, Mankind and JB gaining ~40-70bps MS in the Cardiac segment over FY23-25. Emcure, Sun and Torrent have underperformed Cardiac market growth over the

past 2 years and have lost ~20-60bps MS in the Cardiac segment over FY23-25.

- **Diabetes market: Among the top-10 companies – Sun, Torrent, Mankind and Intas have seen maximum MS gains of 35-80bps over FY23-25**

While the Diabetes market in India has grown at 7% Cagr over FY23-25, Sun, Torrent, Mankind and Intas' Diabetes therapies have grown at 12-15% Cagr over the past 2 years, thereby outperforming Diabetes market growth by 500-750bps over the past 2 years. This has led to Sun, Torrent, Mankind and Intas gaining ~35-80bps MS in the Diabetes segment over FY23-25. Sanofi, USV, Lupin and Cipla have underperformed Diabetes market growth over the past 2 years and have lost ~20-70bps MS in the Diabetes segment over FY23-25.

- **Neurology/CNS market: Among the top-10 companies – Intas and Sun have seen maximum MS gains of 60-130bps over FY23-25**

While the Neurology market in India has grown at 9% Cagr over FY23-25, Intas and Sun's Neurology therapies have grown at 13% and 10% Cagr resp. over the past 2 years, thereby outperforming Neurology market growth by ~400bps and ~150bps resp. over the past 2 years. This has led to Intas and Sun gaining ~130bps and ~60bps MS resp. in the Neurology segment over FY23-25. Abbott and Cipla have underperformed Neurology market growth over the past 2 years and have lost ~60-110bps MS in the Neurology segment over FY23-25.

Lupin & Zydus have relatively lower number of brands among the top-300 brands in the IPM vis-à-vis their overall rankings in the market; JB has relatively higher number of large brands

Although the top-5 players in the Domestic Pharma Market – Sun, Abbott, Cipla, Mankind and Alkem – each have 16-29 brands among the top-300 pharma brands in India, Lupin seems under-indexed on this front as Lupin has only five brands among the top-300, despite Lupin being the 8th largest player in the IPM. Zydus also has only eight brands among the top-300 brands in the IPM. Comparatively, Dr. Reddy's, GSK and Glenmark, despite their overall lower rankings in the IPM (ranked 10th, 13th and 15th resp.), each have 10-17 brands among the top-300 pharma brands in India.

Apart from relatively weak brand building capabilities, Lupin has also struggled from patent expiries in its in-licensed Diabetes portfolio over the past 2-3 years, while Zydus has historically launched a large number of new products every year in the domestic market which seems to have diluted Zydus' efforts/focus of its sales rep teams on driving prescriptions for large brands in India.

While most pharma players who are ranked beyond top-20 in the IPM (e.g. Alembic, Eris, FDC, Ajanta, Indoco etc.) have only 1-3 brands each among the top-300 brands in the IPM, JB Pharma stands out on this front with six of JB's brands featuring among the top-300 brands in the IPM, despite JB being the 22nd ranked player in the market. This highlights JB's strong market dominance and high market share in its key Cardiac brands of Cilacar, Cilacar-T & Nicardia and Acute brands of Rantac, Metrogyl & Sporlac.

Sales of top-10 brands are growing the fastest for Corona, Dr. Reddy's, Ipca, Glenmark and JB Pharma

Top-10 brands on an average account for ~39% of the India sales for the 21 pharma companies which we have analysed in this report. Sun, Lupin, Zydus, Mankind and Torrent have the most diversified product portfolio in the Domestic Pharma Market, with the top-10 brands accounting for only 18-25% of the domestic sales for these five companies. Comparatively, Sanofi derives >80% of its India sales

from its top-10 brands in India, while JB Pharma, FDC & GSK derive 60-65% of their India sales from their top-10 brands in India.

While high product-concentration is a risk for JB and FDC, and we assign low-scores to both these companies on this metric, we note that the top-10 brands for JB and FDC have still grown at 10.4% and 8.9% Cagr resp. over FY23-25 vs industry average growth of 7.5% Cagr for the top-10 brands over this period. Corona and Dr. Reddy's top-10 brands have grown at 21% and 18% Cagr over FY23-25, while Ipca and Glenmark's top-10 brands have grown at 12% Cagr over the past 2 years. We believe big brands usually get into an auto-prescription mode with doctors, which helps the respective companies to continue to drive growth in these large brands.

NLEM revenue exposure is the highest for FDC, GSK, Sanofi, Cipla and Alkem which would again drive relatively muted growth for these companies in FY26

While the price-controlled NLEM/DPCO drug portfolio accounts for 19% of the overall IPM sales, some companies such as FDC and GSK derive 45-55% of their overall India sales from NLEM products. Sanofi, Cipla and Alkem also derive 30-32% of their overall India sales from NLEM products. NLEM revenue exposure is also high for Glenmark, Zydus and Mankind at 22-23% of their India sales.

India business growth has been muted for Acute-heavy players in FY25 who have high exposure to the NLEM portfolio, because there was virtually 'nil' price increase allowed on the NLEM portfolio this year as compared to price increases of 11-12% on the NLEM portfolio in FY23 & FY24. For FY26 as well, NPPA has notified only ~1.7% price increase for the NLEM portfolio, and we note that FY26 will again likely be a relatively muted growth year for the domestic business of all Acute-heavy companies that have high exposure to the NLEM portfolio including Sanofi, GSK, Cipla, Alkem and Zydus.

Comparatively, most of the Chronic-heavy companies such as Torrent, Corona, JB Pharma, Sun and Ajanta have relatively low NLEM revenue exposure of only 7-13%.

Sun, Torrent, Lupin, Cipla and JB rank the best in terms of productivity (PCPM) for the India rep team; JB and Eris have seen the maximum gains in India PCPM over FY23-25

Chronic-focused peers typically have higher PCPM for their India sales rep team as compared to Acute-focused companies, owing to higher realizations for Chronic products as well as due to lower no. of reps needed in a Chronic business vs. Acute business (given Acute companies need to cover GPs and hence, have a much larger field force).

Accordingly, with Sun, Torrent, Lupin, Cipla and JB deriving ~50-60% of their India sales from Chronic products (vs 39% for the IPM), these five companies have the highest PCPM in India (ex-MNCs) at Rs8-10lakhs pm vs industry-average of Rs6 lakhs pm (ex-MNCs) in FY25. We note that Sun's PCPM has continued to remain the best in the industry at Rs10 lakhs pm, despite Sun expanding its India field force by ~35-40% over FY20-25. Acute-heavy companies like Indoco, Alembic, FDC, Ipca and Alkem have the lowest sales rep productivity at Rs3-5lakhs pm only vs industry-average PCPM of Rs6 lakhs pm.

In terms of productivity improvements over the past 2-year period, JB Pharma and Eris have delivered highest India PCPM Cagr of 11% and 15% resp. over FY23-25. Lupin, Torrent and Sun have also delivered India PCPM Cagr of 6-7% over FY23-25.

Sun Pharma, JB Pharma, Ipca, Glenmark, Abbott and Torrent's India business ranks the best on a consolidated score across 16 different operating parameters

We have compared the India Formulations business of 21 pharma companies, across 16 different operating parameters, including market share gains in the India Pharma Market (IPM), contribution of volume + new launches growth to overall India business growth, exposure to faster-growing Chronic therapies and growth in the Chronic portfolio, ability to create large brands as reflected through the no. of brands ranking among the top-300 brands in India, growth

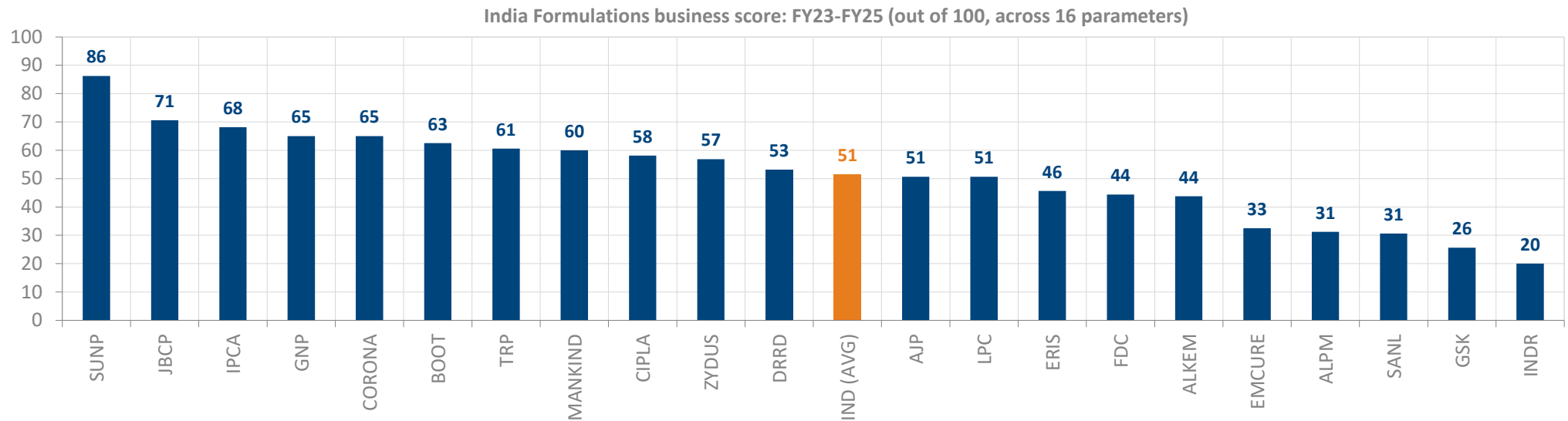
rate in the top-10 brands, revenue exposure to the NLEM portfolio, improvement in India sales rep productivity over the past 2-year period, organic growth delivered in the India business over the past 5 years (FY20-25ii), and growth potential for the India business over FY25-28ii.

Our FY23-25 analysis of the India Formulations business indicates that Sun Pharma, JB Pharma, Ipca, Glenmark, Abbott and Torrent's India business ranks the best, on a consolidated score across these 16 various operating metrics (equal-weighted), while Indoco, GSK, Sanofi, Alembic and Emcure's India business ranks the least. Although Mankind, Alkem and Cipla had also scored highly across these 16 various operating metrics in our last year's analysis (FY22-24), this year all these 3 companies have fallen off the charts owing to muted growth in the Acute therapies and their underperformance over the past 2 years. Comparatively, ramp-up in the Chronic portfolio and outperformance vs the Chronic market has led to Sun & Ipca gaining 20-30bps MS and Mankind & JB gaining 15-20bps MS in the Chronic therapies over FY23-25.

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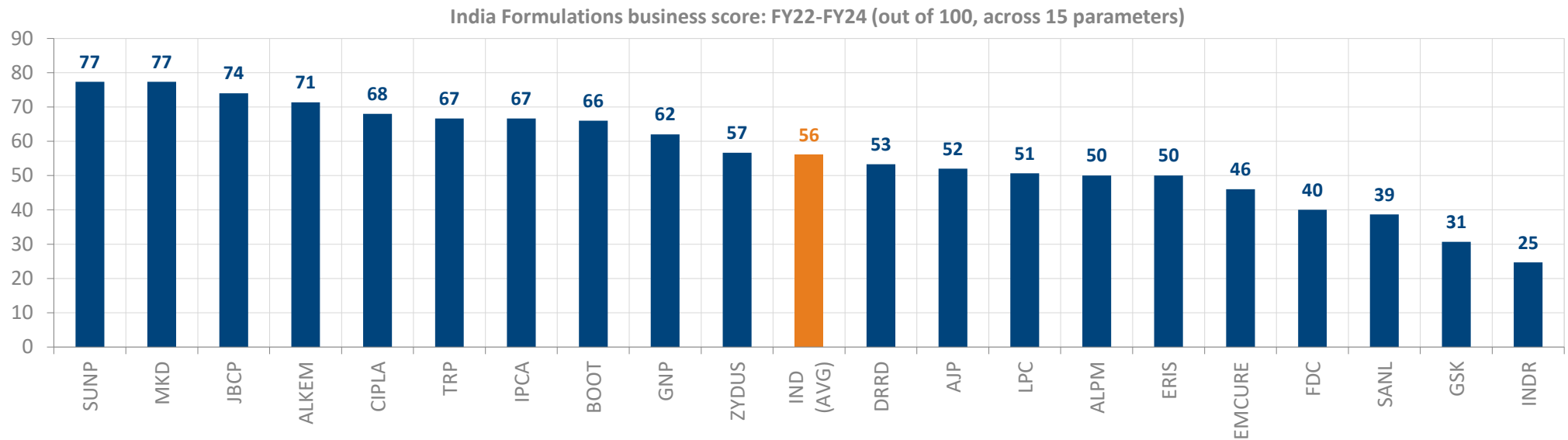
Our preferred picks in the Pharma sector are JB Pharma, Torrent, Sun and Mankind given their strong BGx/India businesses and limited exposure to the US generic market (and, hence potential US tariffs).

Figure 1: Our FY23-25 analysis of the India Formulations business of 21 pharma companies, across 16 different operating parameters, indicates that Sun Pharma, JB Pharma, Ipca, Glenmark, Abbott and Torrent's India business rank the best on a consolidated score across these 16 various operating metrics (equal-weighted), while Indoco, GSK, Sanofi, Alembic and Emcure's India business rank the least



Source: IIFL Research; Note – SUNP: Sun Pharma, JBCP: JB Pharma, IPCA: Ipca Labs, GNP: Glenmark Pharma, CORONA: Corona Remedies, BOOT: Abbott India, TRP: Torrent Pharma, MANKIND: Mankind Pharma, CIPLA: Cipla, ZYDUS: Zydus Lifesciences, DRRD: Dr. Reddy's, AJP: Ajanta, LPC: Lupin, ERIS: Eris Lifesciences, FDC: FDC, ALKEM: Alkem, EMCURE: Emcure, ALPM: Alembic Pharma, SANL: Sanofi India, GSK: GlaxoSmithKline India, INDR: Indoco Remedies, IND (AVG): Industry-average

Figure 2: Although Mankind, Alkem and Cipla had also scored highly across these 15-16 operating metrics in our last year's analysis (FY22-24), this year all these 3 companies (Mankind, Alkem and Cipla) have fallen off the charts for FY25 (Figure 1), owing to muted growth in the Acute therapies and their underperformance over the past 2 years



Source: IIFL Research; Note – SUNP: Sun Pharma, MKD: Mankind Pharma, JBCP: JB Pharma, ALKEM: Alkem, CIPLA: Cipla, TRP: Torrent Pharma, IPCA: Ipca Labs, BOOT: Abbott India, GNP: Glenmark Pharma, ZYDUS: Zydus Lifesciences, DRRD: Dr. Reddy's, AJP: Ajanta, LPC: Lupin, ALPM: Alembic Pharma, ERIS: Eris Lifesciences, EMCURE: Emcure, FDC: FDC, SANL: Sanofi India, GSK: GlaxoSmithKline India, INDR: Indoco Remedies, IND (AVG): Industry-average

Figure 3: Our FY23-25 analysis of the India Formulations business indicates that Sun Pharma, JB Pharma, Ipca, Glenmark, Abbott and Torrent's India business ranks the best, on a consolidated score across these 16 various operating metrics (equal-weighted), while Indoco, GSK, Sanofi, Alembic and Emcure's India business ranks the least

Company	IPM rank (FY25)	Value MS (FY23, %)	Value MS (FY25, %)	FY23-25 MS gains	Chronic exposure (FY25, %)	Chronic MS (FY23, %)	Chronic MS (FY25, %)	India FY23-25 Sales Cagr (SD, %)	Outperform vs IPM	FY23-25 Vol + NI Cagr (%)	FY23-25 Price to India growth Cagr (%)	Vol + NI cont. to India growth (FY23-25)	Chronic FY23-25 Rev Cagr (%)	Outperformance vs IPM Chronic	FY23-25 Chronic MS gains
Sun Pharma	1	7.7	7.9	26 bps	52.7	10.4	10.7	9.6	181 bps	5.4	4.2	56%	11.4	169 bps	32 bps
Abbott	2	6.2	6.3	10 bps	43.7	7.3	7.0	8.7	91 bps	3.1	5.6	35%	7.7	-203 bps	-27 bps
Cipla	3	5.5	5.5	-2 bps	61.5	8.8	8.6	7.6	-19 bps	3.5	4.1	46%	8.5	-125 bps	-20 bps
Mankind	4	4.8	4.8	2 bps	35.4	4.2	4.4	7.9	19 bps	2.8	5.1	36%	12.2	248 bps	19 bps
Alkem	5	4.1	3.9	-16 bps	17.6	1.8	1.8	5.6	-218 bps	2.7	2.8	49%	8.9	-84 bps	-3 bps
Lupin	8	3.5	3.4	-5 bps	63.1	5.8	5.5	7.0	-72 bps	2.2	4.8	32%	7.6	-217 bps	-23 bps
Torrent	7	3.4	3.4	3 bps	54.9	4.9	4.8	8.3	52 bps	1.3	6.9	16%	9.3	-42 bps	-4 bps
Dr. Reddy's	10	3.0	3.1	6 bps	27.1	2.5	2.2	8.8	107 bps	4.8	4.0	54%	2.1	-760 bps	-33 bps
Zydus	11	2.9	2.9	-2 bps	43.0	3.1	3.2	7.4	-36 bps	3.9	3.5	53%	11.1	132 bps	7 bps
GSK	13	2.5	2.2	-30 bps	5.6	0.4	0.3	1.1	-665 bps	(0.9)	2.0	-84%	4.2	-555 bps	-4 bps
Glenmark	15	2.0	2.1	9 bps	45.4	2.3	2.5	10.2	246 bps	5.5	4.7	54%	13.0	330 bps	14 bps
Emcure	14	2.3	2.2	-13 bps	34.1	2.1	1.9	4.6	-315 bps	0.8	3.8	17%	5.4	-431 bps	-16 bps
IPCA	16	1.9	2.1	20 bps	34.2	1.6	1.8	13.2	546 bps	6.5	6.7	49%	17.6	786 bps	24 bps
Sanofi	24	1.1	1.0	-11 bps	55.7	1.7	1.4	1.9	-580 bps	1.0	0.9	53%	1.0	-871 bps	-25 bps
Alembic	20	1.5	1.4	-15 bps	31.8	1.2	1.1	2.5	-529 bps	(2.6)	5.0	-105%	5.1	-464 bps	-10 bps
JB Pharma	22	1.1	1.2	7 bps	46.5	1.3	1.4	10.9	318 bps	5.5	5.4	50%	16.1	637 bps	15 bps
ERIS	21	1.3	1.3	-4 bps	59.8	2.1	2.0	6.2	-151 bps	2.7	3.6	43%	6.7	-308 bps	-12 bps
FDC	23	1.1	1.1	4 bps	6.6	0.2	0.2	9.6	184 bps	5.8	3.8	61%	8.3	-148 bps	-1 bps
Ajanta	26	0.7	0.8	3 bps	41.0	0.9	0.8	10.2	245 bps	5.6	4.6	55%	7.5	-221 bps	-3 bps
Corona	29	0.6	0.6	6 bps	33.7	0.4	0.5	13.6	584 bps	10.1	3.4	75%	21.1	1131 bps	10 bps
Indoco	32	0.6	0.6	-7 bps	11.6	0.2	0.2	1.5	-623 bps	(3.3)	4.8	-218%	0.2	-951 bps	-3 bps
IPM		100.0	100.0		39.0	100.0	100.0	7.7		3.5	4.3	45%	9.7		

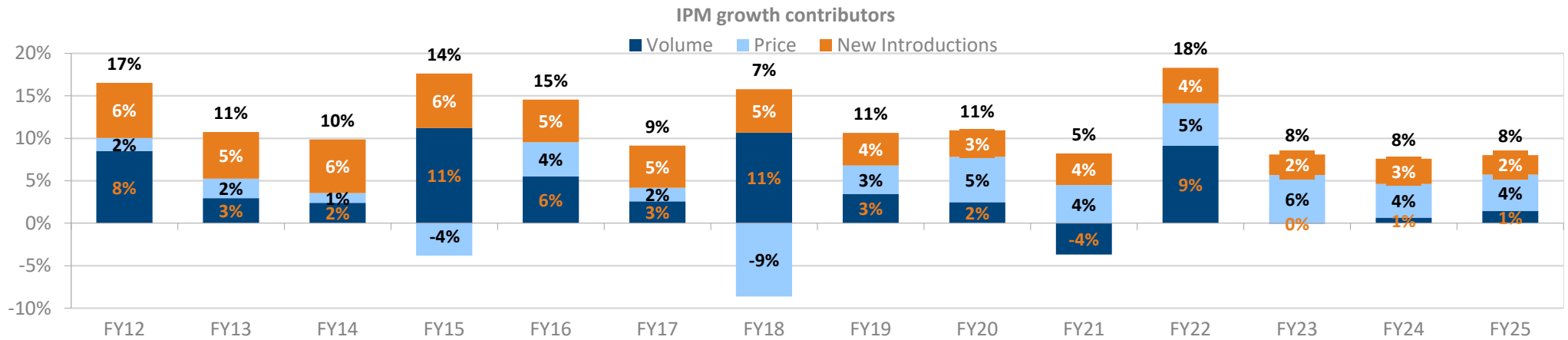
Source: Industry data, IIFL Research; Note: MS = market share; NA = not available; SD = Secondary data; Vol – volume; NI – New Introductions; Abbott and Sanofi secondary data includes both listed as well as unlisted entities

Figure 4: Our FY23-25 analysis of the India Formulations business indicates that Sun Pharma, JB Pharma, Ipca, Glenmark, Abbott and Torrent's India business ranks the best, on a consolidated score across these 16 various operating metrics (equal-weighted), while Indoco, GSK, Sanofi, Alembic and Emcure's India business ranks the least (continued)

Company	Top-10 brands		# brands in top-300 (FY25)	NLEM exposure	No. of MRs 9MFY25	India sales (Rs Cr, FY25ii reported)	PCPM (Rs lakhs pm)		2-yr PCPM Cagr (%)	India sales Cagr (reported, %)		India sales Cagr (organic, %)		CVM presence (as % of IPM)
	FY23-25 Sales Cagr	FY25 Sales Cont.					FY23	FY25		FY20-25ii	FY25-28ii	FY20-25ii	FY25-28ii	
Sun Pharma	8.5	17.9	29	13%	14,000	16,826	8.9	10.0	6.0	11.6	11.0	11.6	11.0	62.2%
Abbott	11.3	34.0	25	22%	3,018	6,228	8.7	10.3	9.1	9.2	9.5	9.2	9.5	61.4%
Cipla	8.8	30.8	23	32%	8,850	11,657	8.8	8.2	(3.1)	11.6	10.0	11.3	10.0	66.4%
Mankind	9.1	23.8	19	22%	14,329	10,826	6.0	6.3	2.5	13.3	14.0	11.9	12.1	65.5%
Alkem	8.2	40.3	16	30%	12,500	8,978	4.4	4.8	3.8	10.5	9.3	10.5	9.3	63.1%
Lupin	4.7	20.1	5	17%	7,700	7,660	7.2	8.3	7.1	8.3	10.0	8.3	10.0	67.9%
Torrent	8.3	25.6	12	7%	6,200	6,403	7.6	8.6	6.8	12.7	12.2	11.5	12.2	55.5%
Dr. Reddy's	17.6	26.5	17	15%	7,579	5,395	5.9	5.9	0.4	13.3	9.5	8.5	9.5	48.2%
Zydus	9.0	22.3	8	23%	7,700	5,836	5.8	6.3	3.9	9.5	10.0	9.5	10.0	63.8%
GSK	1.1	62.2	11	45%	2,500	3,759	na	10.0	na	4.7	na	4.7	na	15.1%
Glenmark	12.0	49.4	10	23%	5,000	4,575	7.1	7.6	4.0	7.4	10.0	8.3	10.0	na
Emcure	4.6	26.2	5	19%	5,040	3,593	6.4	5.9	(3.3)	9.1	9.0	6.8	9.0	na
IPCA	12.3	38.0	6	17%	6,745	3,464	3.8	4.3	5.8	12.6	13.0	12.6	13.0	na
Sanofi	3.0	83.2	5	30%	1,359	1,395	9.8	8.6	(6.6)	na	8.3	na	8.3	na
Alembic	1.6	37.7	3	15%	5,200	2,333	3.1	3.7	9.4	10.4	9.1	10.4	9.1	na
JB Pharma	10.4	65.7	6	12%	2,352	2,270	6.5	8.0	11.2	23.3	13.0	17.2	13.0	25.8%
ERIS	6.5	26.8	2	16%	3,820	2,593	4.2	5.7	15.5	19.6	11.1	9.8	11.1	46.2%
FDC	8.9	64.9	3	54%	3,600	1,741	na	4.0	na	10.4	na	10.4	na	na
Ajanta	7.0	35.9	1	13%	3,500	1,444	na	3.4	na	13.4	na	13.4	na	na
Corona	21.4	29.7	0	9%	na	na	na	na	na	na	na	na	na	33.8%
Indoco	1.8	56.3	1	13%	3,000	879	na	2.4	na	5.1	na	5.1	na	na
IPM	7.5	38.9*		19%			6.1	6.3	1.6	9.2	9.5	9.2	9.5	100.0%

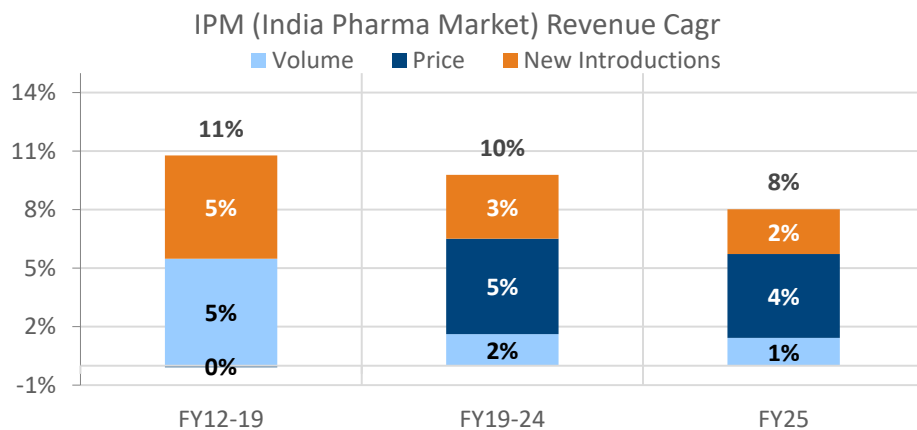
Source: Industry data, IIFL Research; Note: # = number of brands; Rep – Company reported, CVM – Covered Market Presence, NA = not available, *Average sales contribution of the top-10 brands for the 21 companies analysed in this report

Figure 5: While the India Pharma Market (IPM) had been consistently growing at 9-10% Cagr over FY12-22, the industry value growth has slowed to 8% Cagr over the past 2-3 years, likely owing to muted growth in the Acute therapies due to tepid price hikes for the NLEM portfolio, and partly owing to some volume impact from generic-generic substitution/increasing usage of Jan Aushadhi generics



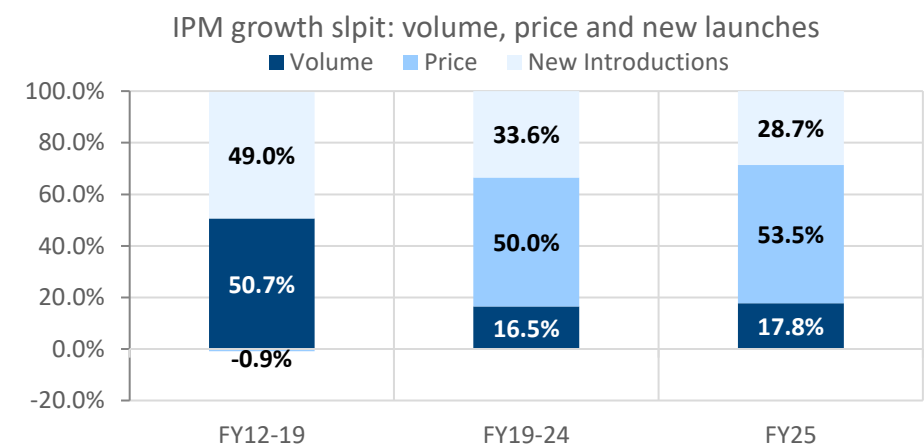
Source: Industry data, IIFL Research

Figure 6: While the India Pharma Market (IPM) has been consistently growing at 8-10% Cagr over FY12-25, the industry volume growth has slowed from 5.5% Cagr over FY12-19 to 1.6% Cagr over FY19-25



Source: Industry data, IIFL Research

Figure 7: Price increases have been a bigger component of Domestic Pharma Market's growth over the past 5-6 years, having been ~5% Cagr for IPM over FY19-25, thereby contributing to ~50-55% of industry's growth during this period



Source: Industry data, IIFL Research

Figure 8: IPM's 7.7% Cagr over FY23-25 was driven by Acute/Chronic growth of 6.5/9.7% Cagr over the past 2 years

IPM - India acute & chronic sales (Rs Cr)	FY23	FY24	FY25	FY23-25 CAGR
Acute	125,342	133,050	142,252	6.5%
Chronic	75,571	82,882	91,009	9.7%
Total IPM	200,913	215,931	233,261	7.7%
<i>Sales Contribution</i>				
Acute	62.4%	61.6%	61.0%	
Chronic	37.6%	38.4%	39.0%	

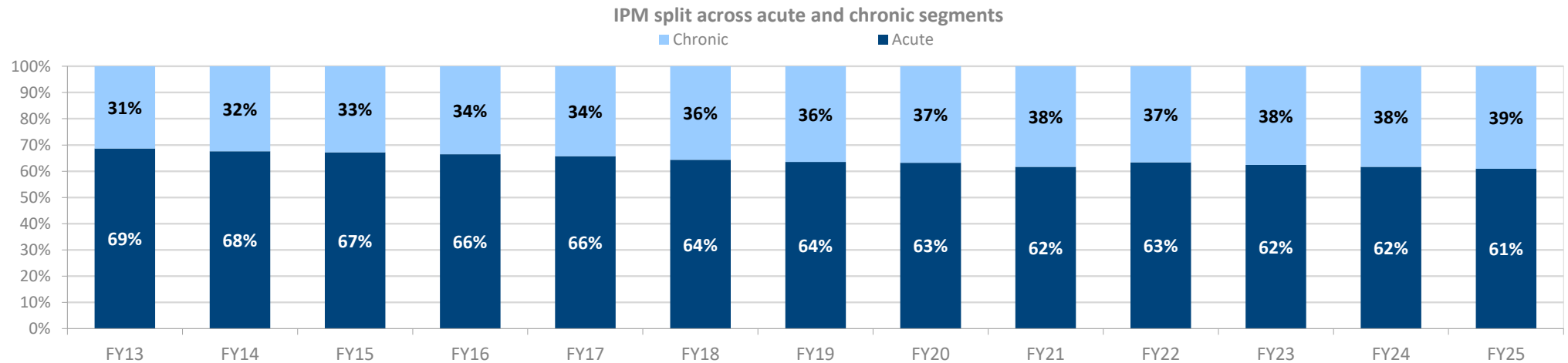
Source: Industry data, IIFL Research

Figure 9: Cardiac, Gastro and Neuro/CNS therapies grew faster at 10.7/8.5/8.6% Cagr over FY23-25 vs IPM growth of 7.7% Cagr. Growth in the Anti-infectives and Respiratory therapies has been muted at 3-4% Cagr over the past 2 years

IPM Sales by various therapies (Rs Cr)	FY23	FY24	FY25	FY25 cont (%)	FY23-25 CAGR
CARDIAC	24,519	26,899	30,054	13%	10.7%
ANTI-INFECTIVES	23,272	24,058	25,295	11%	4.3%
GASTRO-INTESTINAL	21,335	22,875	25,096	11%	8.5%
ANTI DIABETIC	18,054	19,148	20,711	9%	7.1%
PAIN / ANALGESICS	15,938	17,225	18,541	8%	7.9%
RESPIRATORY	17,322	17,819	18,417	8%	3.1%
VITAMINS/MINERALS/NUTRIENTS	15,751	16,897	18,259	8%	7.7%
DERMA	13,992	14,881	16,301	7%	7.9%
NEURO / CNS	11,939	12,964	14,084	6%	8.6%
GYNAEC.	10,209	10,871	11,303	5%	5.2%
ANTINEOPLAST/IMMUNOMODULATOR	4,410	5,431	6,145	3%	18.0%
UROLOGY	4,072	4,633	5,265	2%	13.7%
OPHTHAL / OTOLOGICALS	3,965	4,310	4,508	2%	6.6%
HORMONES	3,140	3,363	3,568	2%	6.6%
VACCINES	2,693	3,132	3,429	1%	12.8%
HEPATOPROTECTIVES	2,240	2,567	2,814	1%	12.1%
BLOOD RELATED	1,812	1,956	2,036	1%	6.0%
OTHERS	1,597	1,813	1,997	1%	11.8%
STOMATOLOGICALS	1,550	1,693	1,872	1%	9.9%
ANTIVIRAL	1,048	1,203	1,186	1%	6.4%
PARENTERAL	561	652	743	0%	15.1%
ANTI-PARASITIC	572	586	605	0%	2.8%
ANTI-TB	374	380	441	0%	8.5%
ANTI MALARIALS	365	399	405	0%	5.3%
SEX STIMULANTS / REJUVENATORS	179	177	187	0%	2.2%
Grand Total	200,913	215,931	233,261		7.7%

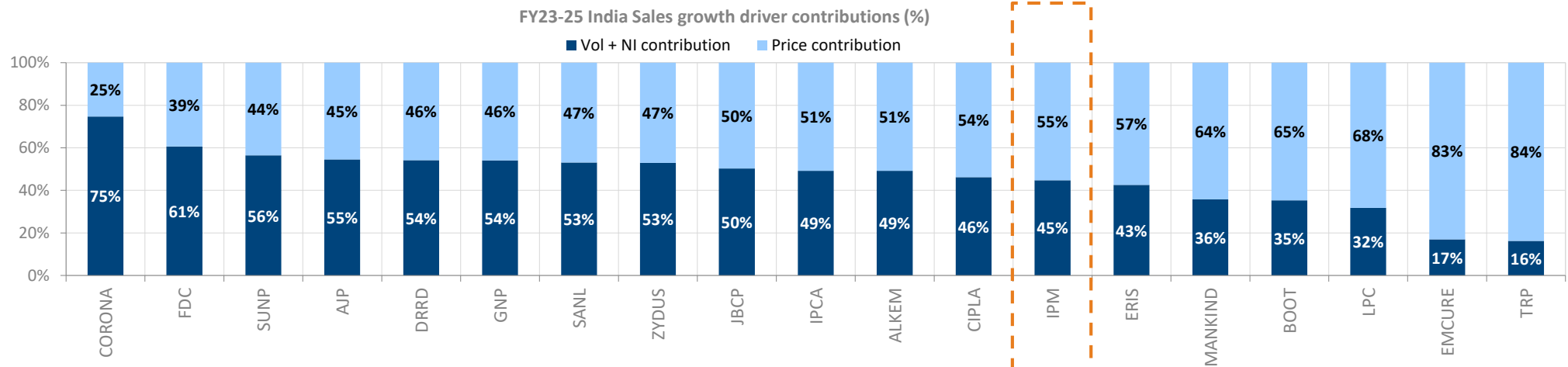
Source: Industry data, IIFL Research

Figure 10: Faster-growing Chronic therapies account for ~39% of the India Pharma Market (IPM)



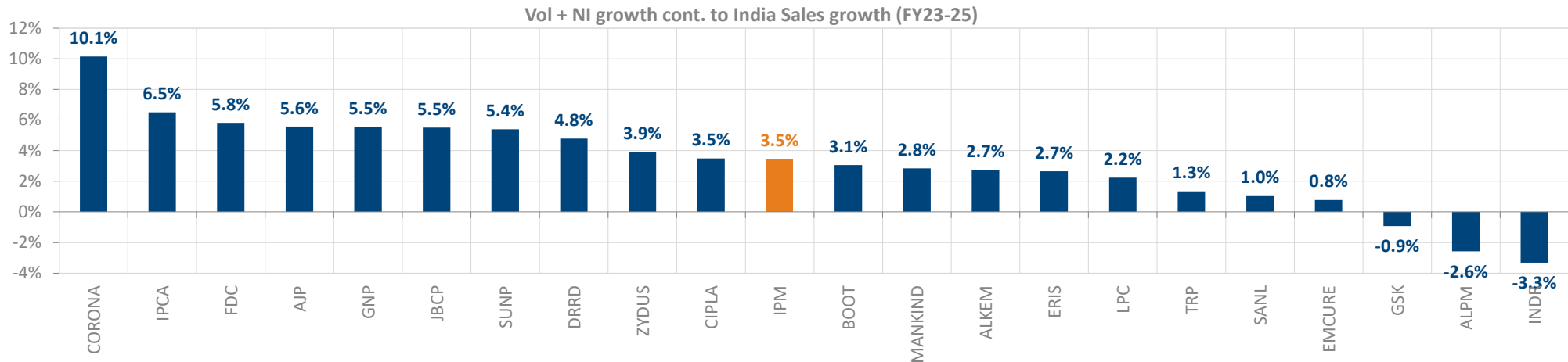
Source: Industry data, IIFL Research

Figure 11: Volume growth and new launches have accounted for 50-55% of Ipca, Ajanta, Glenmark, JB and Sun's India business growth over FY23-25 vs 45% for the IPM. For Corona Remedies and FDC, contribution of volume growth and new launches to their overall India business growth has been even better at 75% and 60% resp. over FY23-25



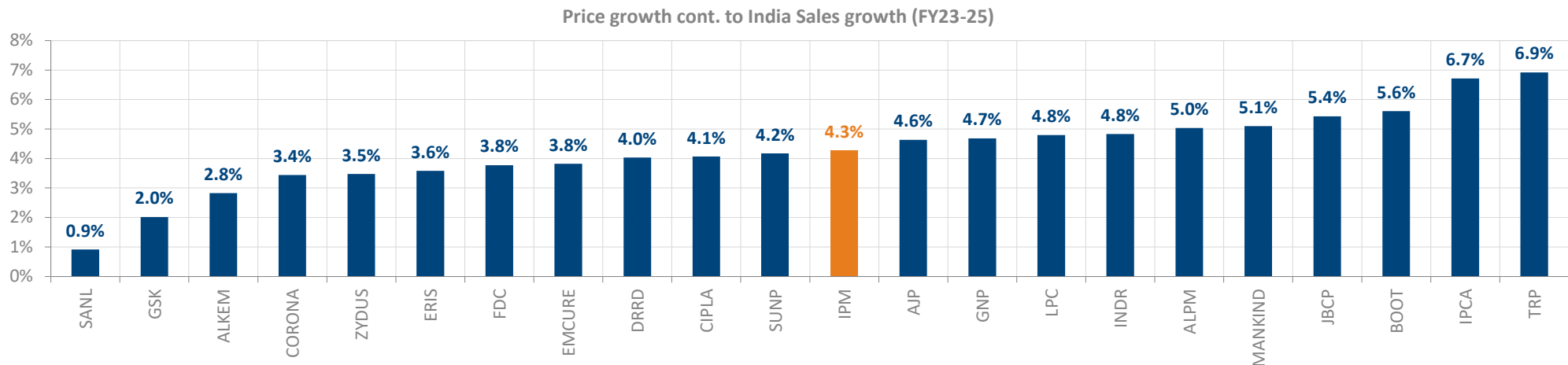
Source: Industry data, IIFL Research

Figure 12: Ipca, Ajanta, Glenmark, JB Pharma and Sun Pharma have significantly outperformed industry in terms of growth through volume and new introductions, with their volume + new launches contributing 5.5-6.5% Cagr to their domestic business growth vs. IPM's volume + new launches growth of 3.5% Cagr



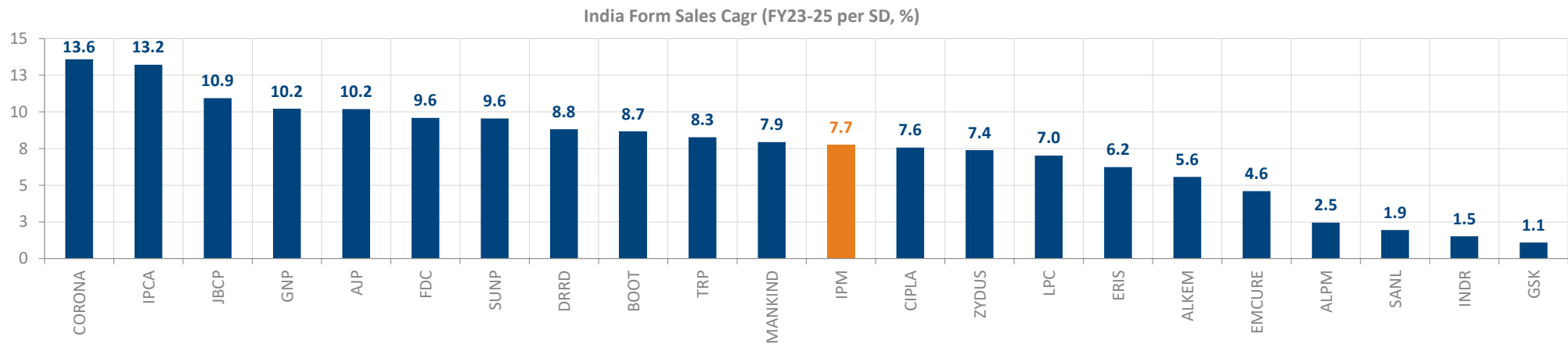
Source: Industry data, IIFL Research

Figure 13: Comparatively, price increases have been a bigger contributor to India business growth for most other companies, including Indoco, Alembic, GSK, Torrent, Emcure and Lupin, for whom price increases have accounted for 70-100% of their India business growth over the past 2 years



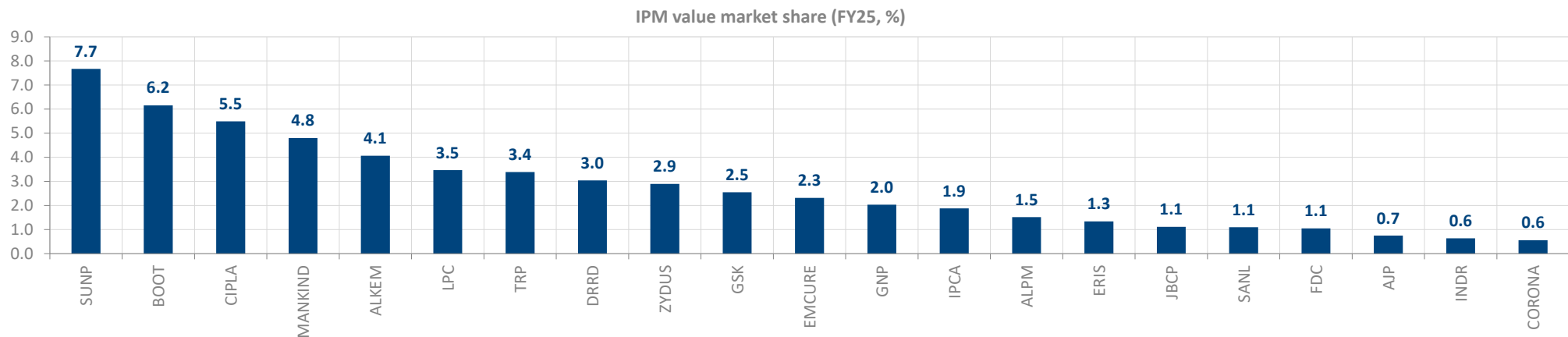
Source: Industry data, IIFL Research

Figure 14: Corona, Ipca, JB, Glenmark, Ajanta and Sun have significantly outperformed IPM growth by 180-580bps over the past 2 years, led by their volume + new launches outperformance and ramp-up in their Chronic portfolios for the domestic market



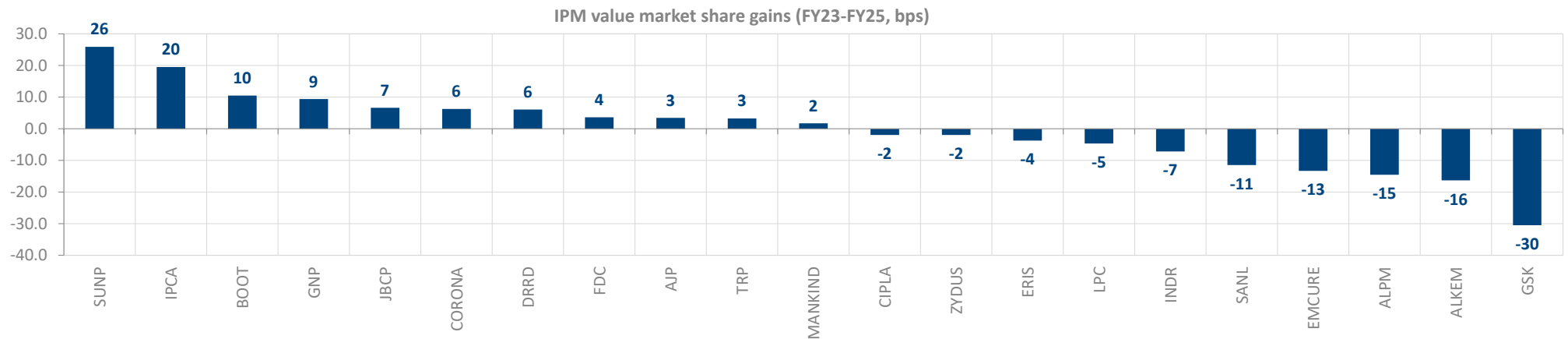
Source: Industry data, IIFL Research; Note: SD = Secondary data

Figure 15: Value market share of various players in the Domestic Pharma Market



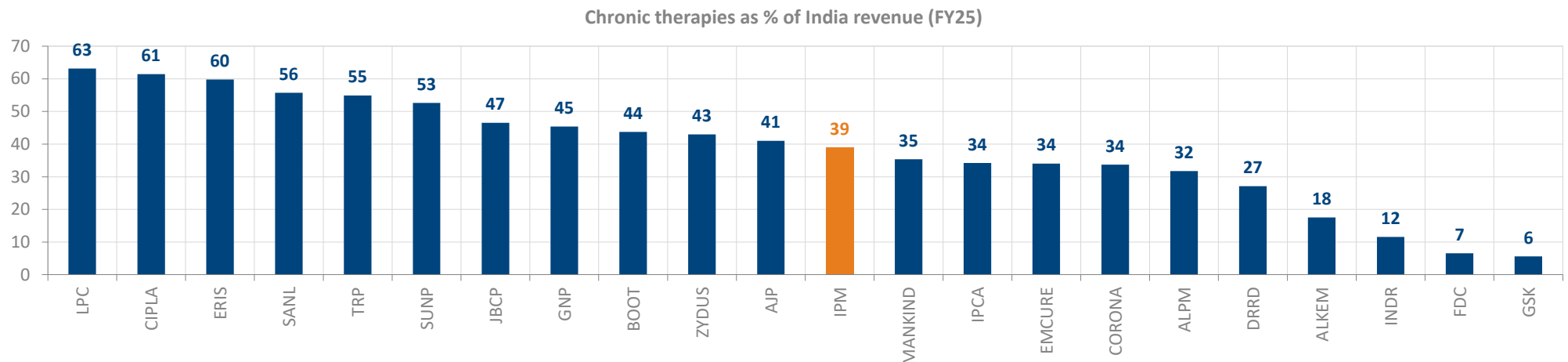
Source: Industry data, IIFL Research

Figure 16: Strong volume growth has driven market share (MS) gains for Sun, Ipca, Glenmark and JB Pharma over the past 2 years, thereby allowing them to significantly outperform IPM value growth. Volume-driven outperformance has led to ~20-25bps gains in MS for Sun & Ipca and ~6-9bps gains in MS for JB Pharma, Glenmark & Corona over the past 2 years



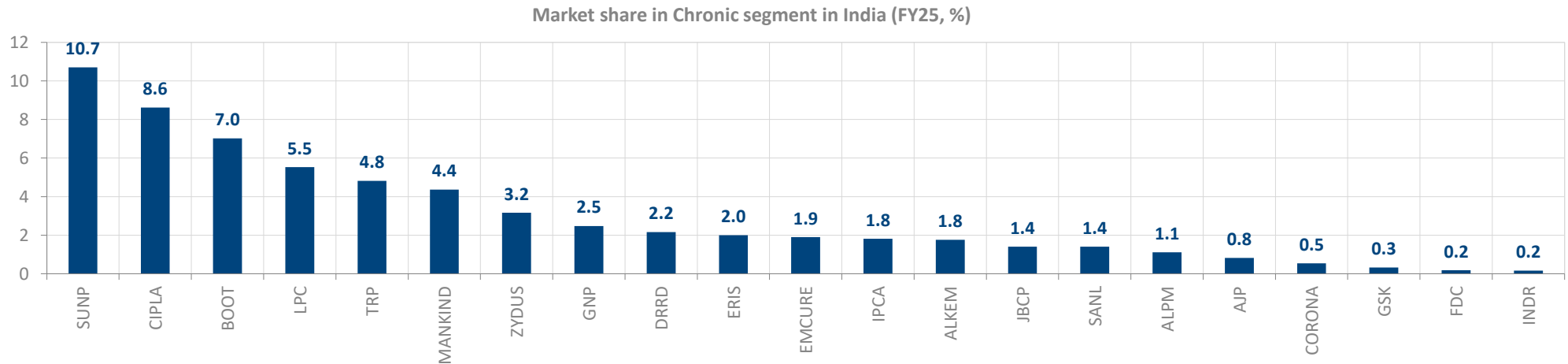
Source: Industry data, IIFL Research

Figure 17: While the faster-growing Chronic therapies account for ~39% of the IPM, few companies such as Lupin, Cipla, Eris, Sanofi, Torrent and Sun Pharma derive ~53-63% of their overall India Formulation sales from Chronic products



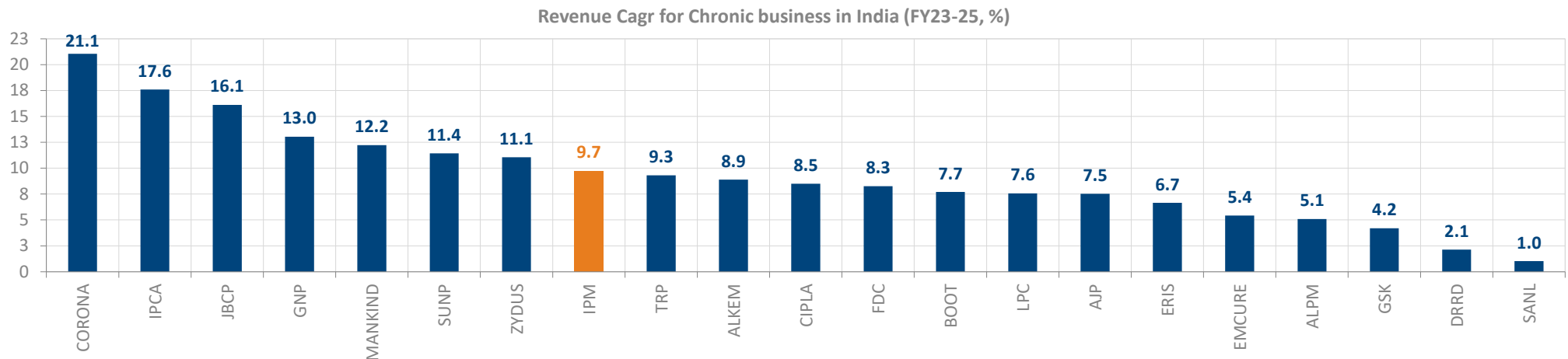
Source: Industry data, IIFL Research

Figure 18: Sun, Cipla, Abbott, Lupin and Torrent continue to dominate the Chronic therapies in India



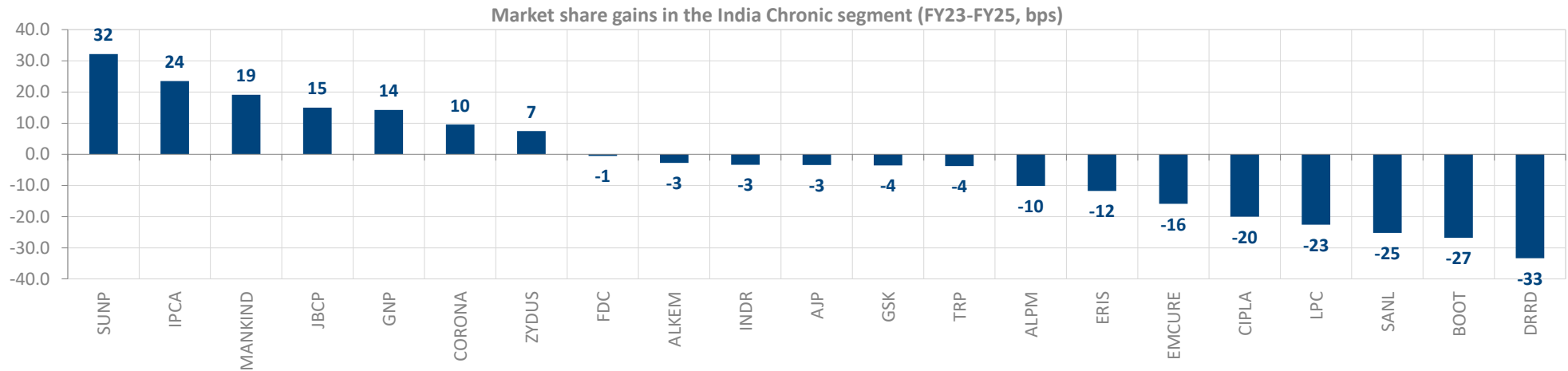
Source: Industry data, IIFL Research

Figure 19: Corona Remedies, Ipca and JB Pharma have significantly outperformed Chronic market growth, with their Chronic portfolios growing at 21%, 18%, 16% Cagr resp. over FY23-25, vs IPM Chronic market growth of 9.7% Cagr, thereby outperforming Chronic market growth by 600-1100bps over the past 2 years. Even Glenmark, Mankind and Sun's Chronic business has grown at 11-13% Cagr over FY23-25, thereby outperforming Chronic market growth by 170-330bps over the past 2 years



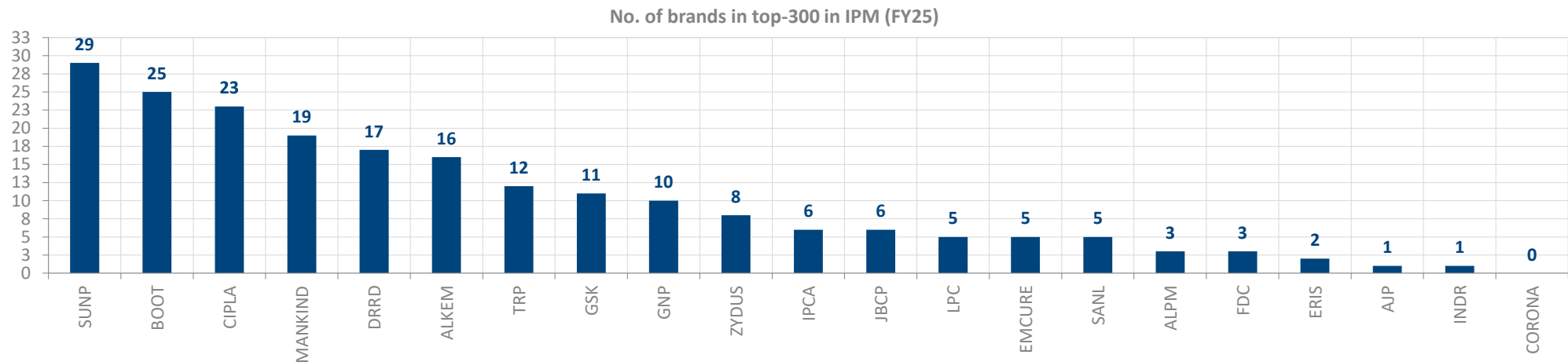
Source: Industry data, IIFL Research

Figure 20: Ramp-up in the Chronic portfolio and outperformance vs the Chronic market has led to Sun & Ipca gaining ~20-30bps MS and Mankind & JB gaining ~15-20bps MS in the Chronic therapies over FY23-25. Dr. Reddy's, Sanofi, Lupin, Cipla, Eris and Emcure have lost ~12-33bps MS in the Chronic segment over FY23-25, owing to their underperformance in the Chronic market



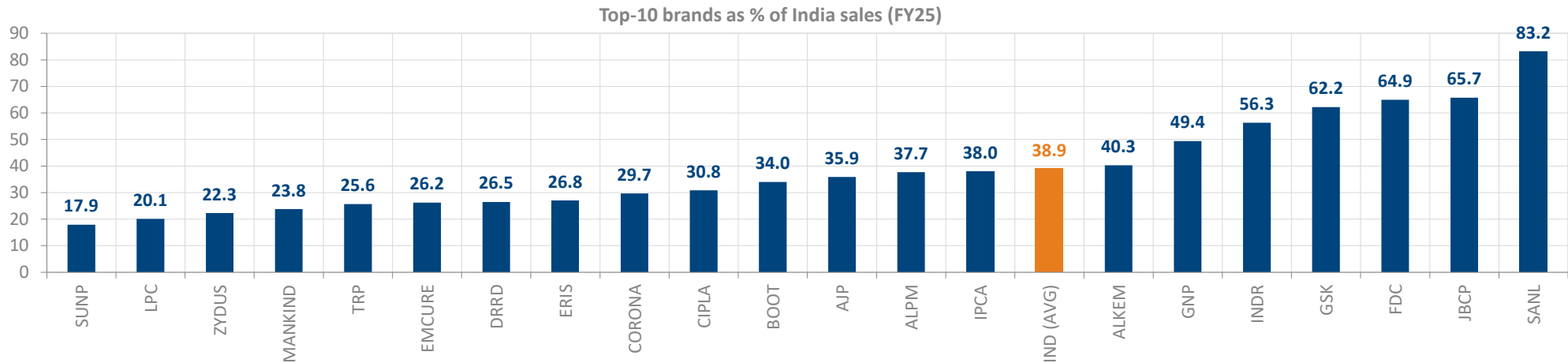
Source: Industry data, IIFL Research

Figure 21: Although the top-5 players in the domestic pharma market – Sun, Abbott, Cipla, Mankind and Alkem – each have 16-29 brands among the top-300 pharma brands in India, Lupin seems under-indexed on this front as Lupin has only 5 brands among the top-300, despite Lupin being the 8th largest player in the IPM. JB Pharma stands out on this front with 6 of JB's brands featuring among the top-300 brands in the IPM, despite JB being the 22nd ranked player in the market



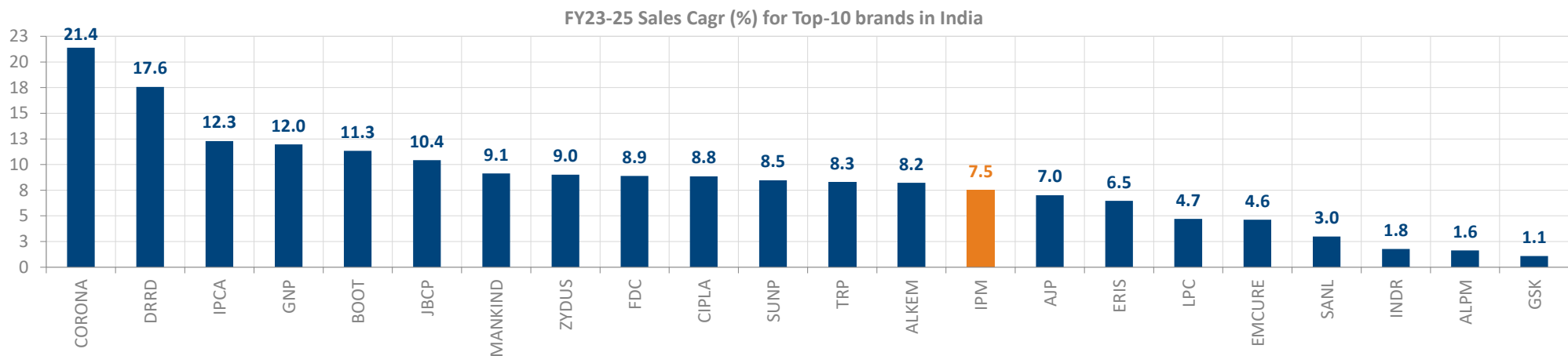
Source: Industry data, IIFL Research

Figure 22: Sun, Lupin, Zydus, Mankind and Torrent have the most diversified product portfolio in the Domestic Pharma Market, with the top-10 brands accounting for only 18-25% of the domestic sales for these 5 companies. Comparatively, Sanofi derives >80% of its India sales from its top-10 brands in India, while JB Pharma, FDC & GSK derive 60-65% of their India sales from their top-10 brands in India



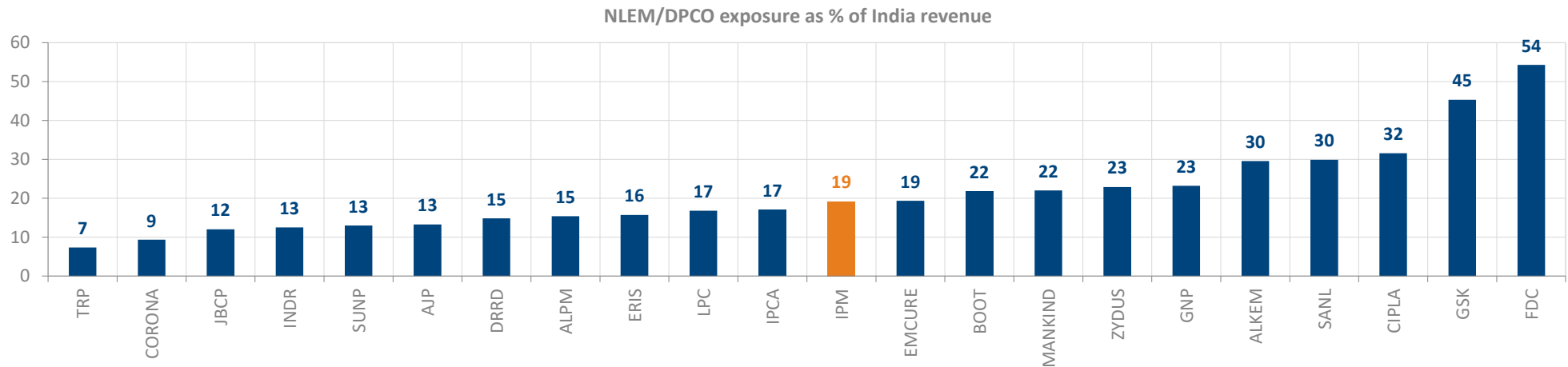
Source: Industry data, IIFL Research

Figure 23: While high product-concentration is a risk for JB and FDC, and we assign low scores to both these companies on this metric, we note that the top-10 brands for JB and FDC have still grown at 10.4% and 8.9% Cagr resp. over FY23-25 vs industry average growth of 7.5% Cagr for the top-10 brands over this period



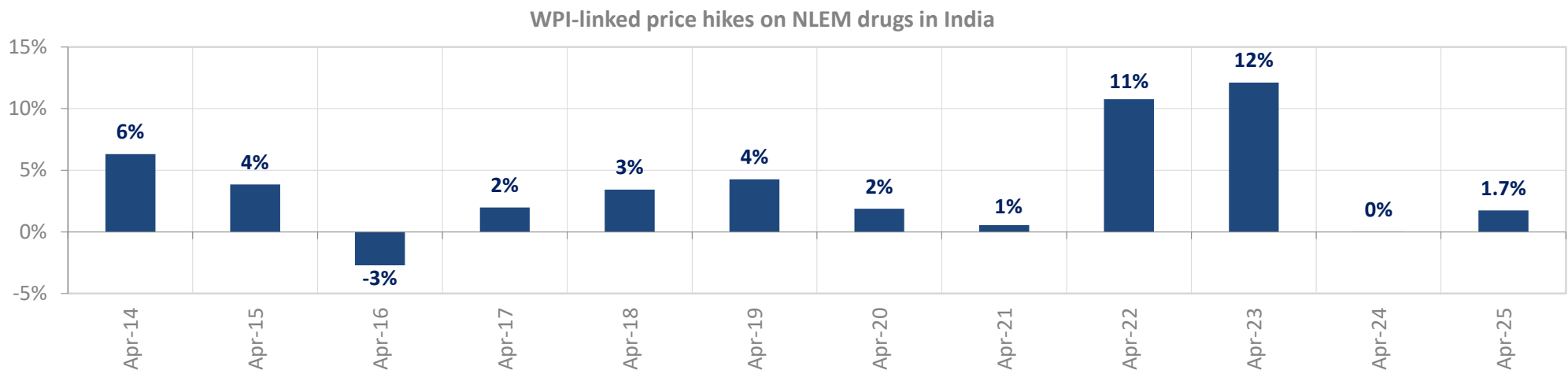
Source: Industry data, IIFL Research

Figure 24: NLEM revenue exposure is the highest for FDC, GSK, Sanofi, Cipla and Alkem which would again drive relatively muted growth for these companies in FY26



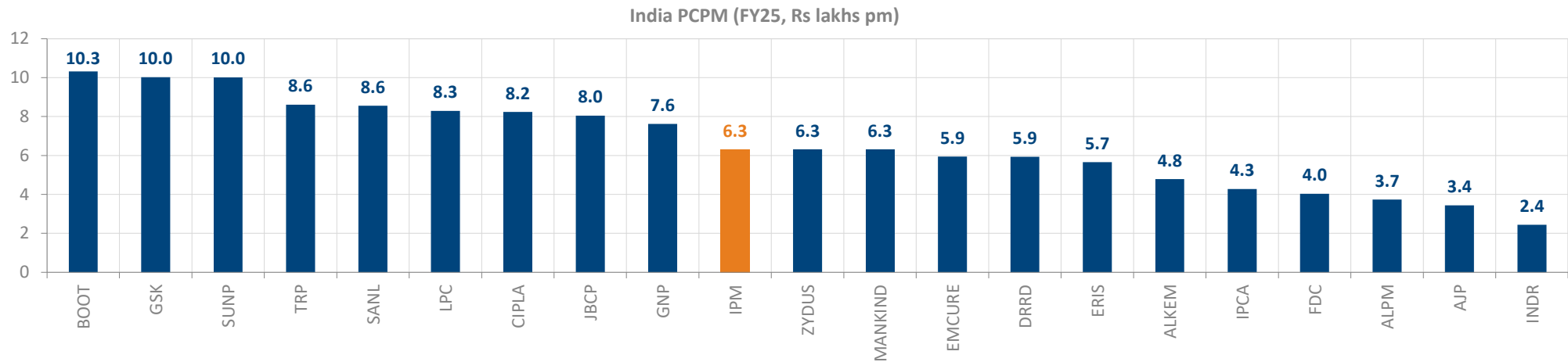
Source: Industry data, IIFL Research

Figure 25: India business growth has been muted for Acute-heavy players in FY25 who have high exposure to the NLEM portfolio, because there was virtually 'nil' price increase allowed on the NLEM portfolio this year as compared to price increases of 11-12% on the NLEM portfolio in FY23 & FY24. For FY26 as well, NPPA has notified only ~1.7% price increase for the NLEM portfolio



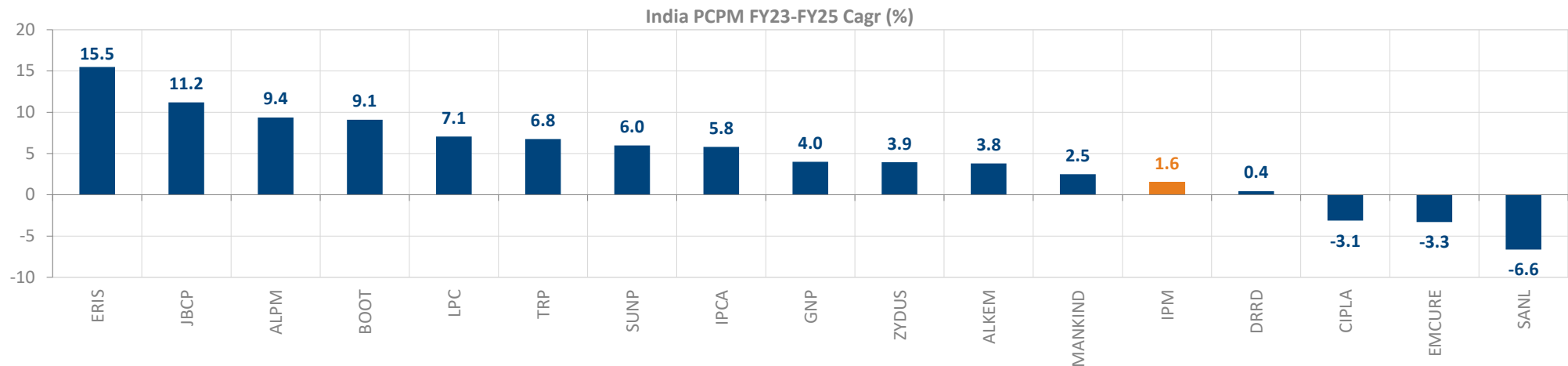
Source: Industry data, IIFL Research

Figure 26: With Sun, Torrent, Lupin, Cipla and JB deriving ~50-60% of their India sales from Chronic products (vs 39% for the IPM), these 5 companies have the highest PCPM in India (ex-MNCs) at Rs8-10lakhs pm vs industry-average of Rs6lakhs pm (ex-MNCs) in FY25



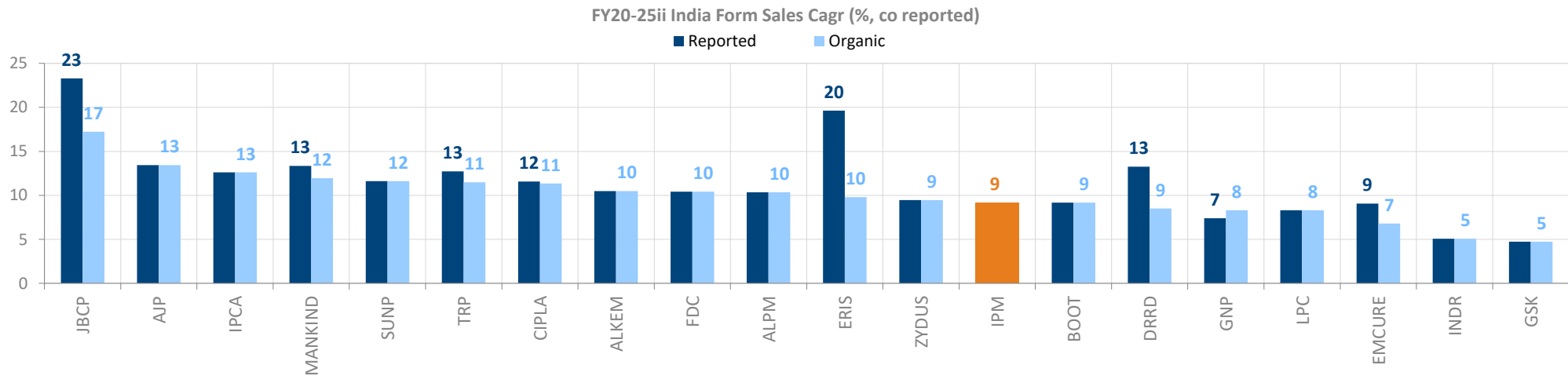
Source: Industry data, IIFL Research

Figure 27: In terms of productivity improvements over the past 2-year period, JB Pharma and Eris have delivered highest India PCPM Cagr of 11% and 15% resp. over FY23-25. Lupin, Torrent and Sun have also delivered India PCPM Cagr of 6-7% over FY23-25



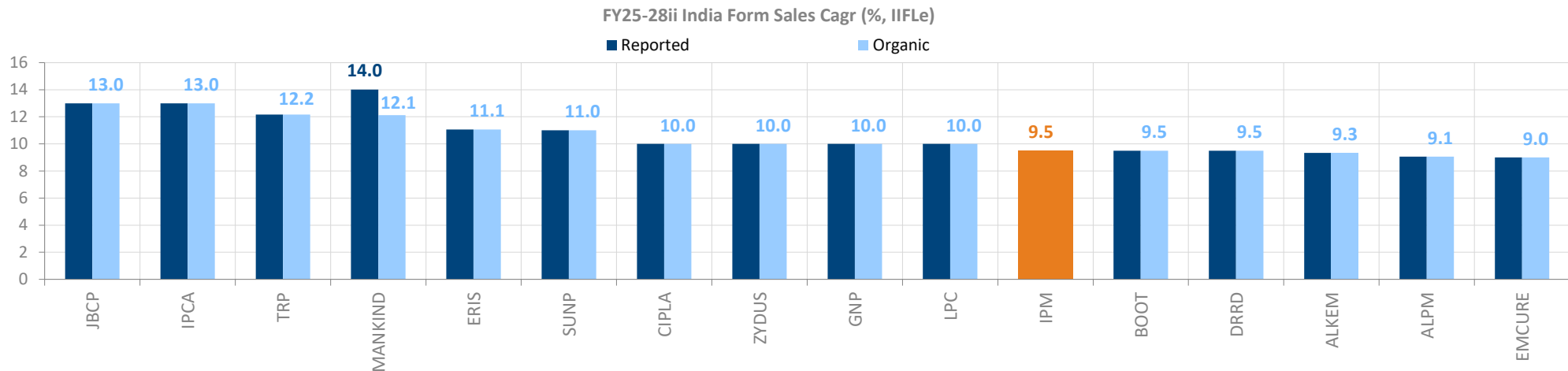
Source: Industry data, IIFL Research

Figure 28: While IPM clocked 9% revenue Cagr over FY20-25ii, organic India business growth for JB Pharma has been 17% Cagr based on primary sales over FY20-25ii, while that for Ajanta and Ipca has been 13% Cagr, and for Sun, Torrent and Mankind has been 11-12% Cagr



Source: Industry data, IIFL Research

Figure 29: We expect Sun, Torrent and Mankind's India businesses to continue their robust growth momentum of ~11-12% organic revenue Cagr, and JB Pharma and Ipca's India businesses will likely grow strongly at ~13% Cagr over FY25-28ii, driven by strong focus on volume-led growth and further scale-up in the Chronic portfolios of these companies



Source: Industry data, IIFL Research

Figure 30: Glenmark, Mankind and JB Pharma outperformed the IPM Cardiac market by growing at 16-18% Cagr over FY23-25, thereby gaining 40-70bps MS over FY23-25

Cardiac Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	over FY23-25 (bps)
SUN PHARMA	10.6	10.6	10.4	-23 bps	9%	-123bps
TORRENT PHARMA	7.5	7.3	7.3	-18 bps	9%	-136bps
LUPIN LIMITED	6.1	6.1	6.1	1 bps	11%	11bps
U S V	5.9	6.0	5.9	8 bps	11%	71bps
GLENMARK PHARMA	4.9	5.3	5.6	70 bps	18%	771bps
MANKIND	4.9	5.2	5.5	57 bps	17%	628bps
CIPLA	4.9	5.0	5.0	11 bps	12%	123bps
JB PHARMA	3.7	3.8	4.0	38 bps	16%	556bps
EMCURE	4.1	3.8	3.5	-64 bps	2%	-885bps
ABBOTT	3.2	3.3	3.3	12 bps	13%	206bps
ZYDUS CADILA	3.2	3.0	3.3	6 bps	12%	97bps
MACLEODS PHARMA	3.3	3.3	3.3	-1 bps	11%	-19bps
INTAS PHARMA	3.3	3.2	3.1	-22 bps	7%	-370bps
DR.REDDYS LABS	3.0	2.4	2.3	-76 bps	-4%	-1494bps
MICRO LABS	2.4	2.3	2.2	-18 bps	6%	-426bps
ARISTO PHARMA	2.2	2.2	2.2	-5 bps	10%	-115bps
AJANTA PHARMA	2.2	2.1	2.1	-13 bps	7%	-331bps
IPCA LABS	1.9	2.0	2.1	14 bps	15%	390bps
ALEMBIC	1.9	1.8	1.7	-16 bps	6%	-497bps
PFIZER	1.5	1.6	1.6	13 bps	16%	487bps
MERCK SPECIALITIES	1.2	1.4	1.5	31 bps	24%	1344bps
ERIS LIFESCIENCES	1.7	1.6	1.5	-15 bps	6%	-502bps
ASTRAZENECA	1.2	1.3	1.3	11 bps	16%	504bps
SERVIER INDIA	1.1	1.1	1.1	1 bps	11%	47bps
UNIMED	0.8	0.8	0.8	5 bps	14%	312bps
Cardiac IPM market					11%	

Source: Industry data, IIFL Research

Figure 31: Macleods, Mankind and Zydus outperformed the IPM Anti-infectives market by growing at 7-10% Cagr over FY23-25, thereby gaining 30-85bps MS over FY23-25

Anti-infective Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	over FY23-25 (bps)
ALKEM	13.2	12.7	12.2	-99 bps	0%	-398bps
ARISTO PHARMA	11.3	11.9	11.5	14 bps	5%	67bps
MACLEODS PHARMA	8.1	8.8	9.0	85 bps	10%	533bps
CIPLA	6.8	6.8	6.9	12 bps	5%	87bps
MANKIND	5.8	6.2	6.1	32 bps	7%	285bps
SUN PHARMA	6.1	6.1	6.0	-7 bps	4%	-58bps
GLAXOSMITHKLINE	5.6	5.1	5.0	-65 bps	-2%	-618bps
ABBOTT	4.8	4.5	4.6	-16 bps	3%	-171bps
ZYDUS CADILA	3.1	3.2	3.5	34 bps	10%	548bps
FDC	3.2	3.1	3.2	4 bps	5%	67bps
EMCURE	2.4	2.4	2.6	19 bps	8%	412bps
ALEMBIC	3.0	2.8	2.6	-43 bps	-4%	-780bps
LUPIN LIMITED	2.1	2.2	2.2	9 bps	7%	231bps
PFIZER	2.4	1.4	1.8	-60 bps	-9%	-1364bps
GLENMARK PHARMA	1.6	1.7	1.8	14 bps	9%	438bps
MICRO LABS	1.8	1.7	1.7	-18 bps	-1%	-536bps
IPCA LABS	1.4	1.4	1.4	3 bps	6%	133bps
DR.REDDYS LABS	1.2	1.3	1.3	16 bps	11%	699bps
HETERO HEALTHCARE	1.1	1.0	1.0	-11 bps	-1%	-538bps
INDOCO	1.0	0.9	0.9	-10 bps	-1%	-547bps
TORRENT PHARMA	0.8	0.8	0.8	-3 bps	3%	-175bps
INTAS PHARMA	0.8	0.8	0.7	-3 bps	2%	-234bps
GUFIC	0.6	0.9	0.7	12 bps	14%	1009bps
GALPHA LABS	0.7	0.6	0.7	0 bps	4%	11bps
BLUE CROSS	0.6	0.5	0.5	-4 bps	1%	-374bps
Anti-infectives IPM market					4%	

Source: Industry data, IIFL Research

Figure 32: Sun, Abbott, Alkem and FDC outperformed the IPM Gastro market by growing at 10-19% Cagr over FY23-25, thereby gaining 20-60bps MS over FY23-25

Gastro Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	over FY23-25 (bps)
SUN	9.3	9.6	9.7	43 bps	11%	249bps
ABBOTT	8.5	8.6	8.9	47 bps	11%	299bps
ALKEM	7.1	7.2	7.3	21 bps	10%	160bps
TORRENT PHARMA	5.6	5.6	5.7	5 bps	9%	53bps
ARISTO PHARMA	4.9	5.0	4.7	-17 bps	7%	-184bps
DR.REDDYS LABS	4.6	4.8	4.6	5 bps	9%	63bps
MANKIND	4.6	4.5	4.6	2 bps	9%	29bps
FDC	3.0	3.1	3.5	58 bps	19%	1020bps
LUPIN LIMITED	2.8	2.8	2.8	3 bps	9%	49bps
CIPLA	3.0	2.8	2.8	-23 bps	4%	-421bps
JB PHARMA	2.8	2.9	2.7	-7 bps	7%	-127bps
ZYDUS CADILA	2.9	2.7	2.6	-34 bps	2%	-640bps
CADILA PHARMA	2.7	2.8	2.5	-28 bps	3%	-578bps
MACLEODS PHARMA	1.9	1.8	1.8	-11 bps	5%	-321bps
INTAS PHARMA	1.8	1.8	1.7	-10 bps	5%	-304bps
SANOFI	1.4	1.4	1.6	17 bps	15%	631bps
SYSTOPIC	1.4	1.4	1.4	-4 bps	7%	-139bps
MEDLEY PHARMA	1.5	1.4	1.4	-15 bps	3%	-542bps
ALEMBIC	1.5	1.4	1.4	-10 bps	5%	-374bps
WALLACE	1.3	1.3	1.3	4 bps	10%	167bps
BLUE CROSS	1.5	1.4	1.3	-21 bps	1%	-777bps
PFIZER	1.5	1.5	1.3	-25 bps	-1%	-934bps
MARTIN HARRIS	0.9	1.0	1.1	11 bps	15%	631bps
HETERO HEALTHCARE	0.9	0.9	1.0	9 bps	13%	493bps
FOURRTS INDIA	1.0	1.0	1.0	-2 bps	8%	-88bps
Gastro IPM market					8%	

Source: Industry data, IIFL Research

Figure 33: Sun, Torrent, Mankind and Intas outperformed the IPM Diabetes market by growing at 12-15% Cagr over FY23-25, thereby gaining 35-80bps MS over FY23-25

Anti-Diabetic Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	over FY23-25 (bps)
ABBOTT	16.4	16.7	16.5	14 bps	8%	46bps
U S V	10.6	10.5	10.0	-58 bps	4%	-299bps
LUPIN LIMITED	8.2	7.8	8.0	-26 bps	5%	-168bps
SUN PHARMA	6.2	6.5	7.0	81 bps	14%	677bps
SANOFI	6.5	5.7	5.7	-71 bps	1%	-608bps
ERIS LIFESCIENCES	4.5	4.7	4.7	20 bps	9%	231bps
MANKIND	4.0	4.3	4.5	45 bps	13%	591bps
INTAS PHARMA	3.6	3.8	4.0	36 bps	12%	526bps
TORRENT PHARMA	3.1	3.3	3.6	46 bps	15%	767bps
CIPLA	3.6	3.4	3.4	-21 bps	4%	-322bps
BOEHRINGER INGELH.	3.5	3.2	2.9	-62 bps	-3%	-989bps
MICRO LABS	2.5	2.5	2.5	-5 bps	6%	-116bps
MACLEODS PHARMA	2.1	2.2	2.3	13 bps	10%	317bps
ALKEM	1.8	2.1	2.1	28 bps	15%	783bps
MSD	2.7	2.3	2.0	-74 bps	-9%	-1566bps
PHARMACEUTICA	1.9	2.0	1.9	7 bps	9%	186bps
DR.REDDYS LABS	1.9	2.0	1.9	7 bps	9%	186bps
FRANCO INDIAN	1.5	1.4	1.3	-13 bps	2%	-494bps
ALEMBIC	1.3	1.3	1.3	0 bps	7%	19bps
ARISTO PHARMA	1.1	1.2	1.2	6 bps	10%	291bps
GLENMARK PHARMA	1.7	1.3	1.2	-51 bps	-10%	-1723bps
SYSTOPIC	0.9	1.0	1.0	11 bps	13%	627bps
ZYDUS CADILA	0.9	0.9	0.9	-1 bps	7%	-45bps
IPCA LABS	0.7	0.8	0.8	17 bps	20%	1280bps
CORONA REMEDIES	0.6	0.7	0.8	15 bps	19%	1199bps
SERVIER INDIA	0.7	0.7	0.8	9 bps	14%	691bps
Anti-diabetic IPM market					7%	

Source: Industry data, IIFL Research

Figure 34: Ipca, Sun, Abbott and Cipla outperformed the IPM Pain market by growing at 12-18% Cagr over FY23-25, thereby gaining 45-90bps MS over FY23-25

Pain Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	over FY23-25 (bps)
IPCA LABS	9.2	9.7	10.1	92 bps	13%	524bps
SUN PHARMA	7.3	7.5	7.9	61 bps	12%	440bps
ALKEM	5.6	5.4	5.2	-36 bps	4%	-350bps
DR.REDDYS LABS	4.1	4.2	4.1	4 bps	8%	53bps
INTAS PHARMA	3.3	3.3	3.5	19 bps	11%	309bps
TORRENT PHARMA	3.6	3.6	3.5	-13 bps	6%	-202bps
MICRO LABS	3.9	3.6	3.3	-55 bps	0%	-789bps
MACLEODS PHARMA	3.4	3.4	3.3	-12 bps	6%	-194bps
ABBOTT	2.6	2.8	3.1	49 bps	18%	973bps
GLAXOSMITHKLINE	4.0	3.5	3.0	-93 bps	-6%	-1354bps
CIPLA	2.5	2.5	2.9	44 bps	17%	911bps
ZYDUS CADILA	2.8	2.8	2.8	0 bps	8%	-4bps
MANKIND	2.8	2.6	2.6	-14 bps	5%	-281bps
JANSSEN	2.5	2.4	2.4	-13 bps	5%	-274bps
TROIKAA PHARMA	2.0	2.0	2.2	18 bps	12%	460bps
EMCURE	1.9	1.9	2.0	1 bps	8%	39bps
PHARMED	1.8	1.8	1.8	4 bps	9%	133bps
LUPIN LIMITED	1.8	1.7	1.6	-22 bps	1%	-682bps
BLUE CROSS	1.9	1.8	1.6	-35 bps	-2%	-1032bps
ARISTO PHARMA	1.5	1.5	1.4	-14 bps	3%	-513bps
PFIZER	1.5	1.4	1.4	-9 bps	4%	-337bps
SANOFI	1.3	1.3	1.1	-18 bps	0%	-766bps
NEON LABS	1.2	1.3	1.1	-13 bps	2%	-562bps
BAYER PHARMA LTD.	0.7	0.9	1.1	39 bps	35%	2723bps
MEYER ORGANICS	1.0	1.0	1.0	-5 bps	5%	-287bps
Pain IPM market					8%	

Source: Industry data, IIFL Research

Figure 35: Cipla, Lupin, Dr. Reddy's and Sun outperformed the IPM Respiratory market by growing at 6-8% Cagr over FY23-25, thereby gaining 30-230bps MS over FY23-25

Respiratory Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	over FY23-25 (bps)
CIPLA	23.0	24.6	25.3	231 bps	8%	506bps
LUPIN LIMITED	5.8	6.1	6.2	39 bps	6%	338bps
GLENMARK PHARMA	5.5	5.6	5.7	22 bps	5%	208bps
DR.REDDYS LABS	5.0	5.2	5.4	39 bps	7%	395bps
SUN PHARMA	4.8	5.0	5.1	30 bps	6%	322bps
ZYDUS CADILA	4.8	4.9	5.0	21 bps	5%	223bps
MANKIND	5.0	4.7	4.6	-44 bps	-2%	-463bps
MACLEODS PHARMA	3.5	3.8	3.7	22 bps	6%	317bps
CENTAUR	2.6	2.5	2.4	-16 bps	0%	-327bps
SANOFI	2.5	2.5	2.4	-9 bps	1%	-187bps
ALEMBIC	2.4	2.4	2.2	-24 bps	-2%	-524bps
ABBOTT	2.7	2.1	2.2	-53 bps	-8%	-1073bps
ARISTO PHARMA	1.6	1.6	1.6	-5 bps	1%	-164bps
ALKEM	1.6	1.5	1.6	0 bps	3%	9bps
FRANCO INDIAN	2.2	1.5	1.5	-69 bps	-15%	-1819bps
PFIZER	1.7	1.5	1.4	-25 bps	-5%	-788bps
EMCURE	1.6	1.5	1.4	-19 bps	-3%	-624bps
GLAXOSMITHKLINE	1.5	1.4	1.3	-27 bps	-6%	-936bps
BLUE CROSS	1.3	1.3	1.2	-15 bps	-3%	-584bps
IPCA LABS	1.1	1.1	1.1	0 bps	3%	12bps
INDOCO	1.3	1.2	1.1	-17 bps	-4%	-717bps
MICRO LABS	1.1	1.0	1.0	-7 bps	0%	-333bps
FOURRTS INDIA	0.9	1.0	1.0	9 bps	8%	487bps
PROC.&GAMB.HEALTH	0.6	0.6	0.6	-1 bps	2%	-93bps
HETERO HEALTHCARE	0.6	0.5	0.6	1 bps	4%	50bps
Respiratory IPM market					3%	

Source: Industry data, IIFL Research

Figure 36: Abbott, Alkem and Nutricia outperformed the IPM VMN market by growing at 11-25% Cagr over FY23-25, thereby gaining 35-90bps MS over FY23-25

VMN Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	over FY23-25 (bps)
ABBOTT	6.8	7.1	7.2	39 bps	11%	303bps
ALKEM	5.4	5.5	5.7	34 bps	11%	331bps
MANKIND	5.3	5.1	5.0	-27 bps	5%	-283bps
PROC.&GAMB.HEALTH	5.0	4.6	4.6	-37 bps	4%	-407bps
TORRENT PHARMA	4.4	4.4	4.2	-15 bps	6%	-182bps
SUN PHARMA	4.4	4.2	4.2	-19 bps	5%	-239bps
NUTRICIA INTERNAT	2.7	3.2	3.6	92 bps	25%	1716bps
RAPTAKOS BRETT	2.8	2.8	2.8	-3 bps	7%	-61bps
MEYER ORGANICS	2.8	2.7	2.7	-10 bps	6%	-202bps
PFIZER	2.6	2.5	2.4	-23 bps	3%	-483bps
APEX	2.6	2.4	2.4	-20 bps	4%	-412bps
LA RENON HEALTHCA.	2.2	2.3	2.4	19 bps	12%	458bps
DR.REDDYS LABS	2.2	2.2	2.1	-8 bps	6%	-196bps
LUPIN LIMITED	2.2	2.2	2.1	-13 bps	5%	-312bps
ERIS LIFESCIENCES	2.0	2.1	2.1	4 bps	9%	98bps
INTAS PHARMA	1.8	1.9	1.9	16 bps	12%	469bps
GLAXOSMITHKLINE	1.9	1.8	1.9	-2 bps	7%	-57bps
EMCURE	2.1	2.0	1.9	-21 bps	2%	-562bps
BRITISH BIOLOGICAL	1.8	1.7	1.8	-3 bps	7%	-99bps
CORONA REMEDIES	1.5	1.7	1.7	26 bps	17%	925bps
PHARMED	1.6	1.6	1.6	3 bps	9%	109bps
MACLEODS PHARMA	1.7	1.6	1.5	-21 bps	1%	-687bps
ARISTO PHARMA	1.4	1.3	1.3	-6 bps	5%	-243bps
ZYDUS CADILA	1.5	1.4	1.3	-25 bps	-1%	-913bps
BAYER PHARMA LTD.	1.1	1.3	1.2	17 bps	16%	837bps
VMN IPM market					8%	

Source: Industry data, IIFL Research

Figure 37: Glenmark, Dr. Reddy's and Galderma outperformed the IPM Derma market by growing at 13-21% Cagr over FY23-25, thereby gaining 50-70bps MS over FY23-25

Derma Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	over FY23-25 (bps)
GLAXOSMITHKLINE	10.2	9.9	9.5	-72 bps	4%	-389bps
GLENMARK PHARMA	7.2	7.3	7.8	68 bps	13%	504bps
SUN PHARMA	5.1	4.9	4.8	-29 bps	5%	-308bps
HEGDE & HEGDE	5.0	4.8	4.6	-41 bps	3%	-448bps
MANKIND	3.9	3.7	3.6	-29 bps	4%	-412bps
DR.REDDYS LABS	3.0	3.2	3.5	49 bps	16%	851bps
TORRENT PHARMA	3.2	3.4	3.1	-5 bps	7%	-88bps
GALDERMA	2.4	2.6	3.0	59 bps	21%	1266bps
ABBOTT	2.8	2.8	2.9	9 bps	10%	171bps
INTAS PHARMA	2.5	2.6	2.9	42 bps	17%	885bps
CIPLA	2.4	2.6	2.7	30 bps	14%	644bps
WIN MEDICARE	2.9	2.8	2.5	-45 bps	-1%	-862bps
ZYDUS CADILA	2.7	2.6	2.5	-25 bps	3%	-513bps
MACLEODS PHARMA	3.2	2.8	2.5	-71 bps	-5%	-1284bps
ERIS LIFESCIENCES	2.6	2.2	2.4	-25 bps	3%	-519bps
AJANTA PHARMA	2.1	2.3	2.4	30 bps	16%	757bps
HIMALAYA DRUG	2.0	2.0	1.8	-12 bps	4%	-348bps
IPCA LABS	1.4	1.6	1.7	34 bps	20%	1252bps
ALKEM	1.6	1.7	1.7	7 bps	10%	221bps
KLM LABS	1.7	2.0	1.7	0 bps	8%	-12bps
MICRO LABS	1.1	1.1	1.2	13 bps	14%	624bps
SYSTOPIC	1.2	1.2	1.2	2 bps	9%	74bps
MED MANOR ORGANICS	1.1	1.1	1.2	6 bps	11%	287bps
A.MENARINI INDIA	0.9	1.0	1.1	14 bps	16%	785bps
RECKITT BENCKISER	1.1	1.1	1.1	-5 bps	5%	-254bps
Derma IPM market					8%	

Source: Industry data, IIFL Research

Figure 38: Intas and Sun outperformed the IPM Neuro market by growing at 10-13% Cagr over FY23-25, thereby gaining 65-130bps MS over FY23-25

Neuro Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	over FY23-25 (bps)
SUN PHARMA	22.2	22.5	22.8	64 bps	10%	156bps
INTAS PHARMA	17.2	17.7	18.5	127 bps	13%	393bps
TORRENT PHARMA	8.2	8.3	8.4	11 bps	9%	74bps
ABBOTT	7.9	7.4	6.8	-112 bps	1%	-801bps
CIPLA	4.6	4.5	4.0	-59 bps	1%	-721bps
LUPIN LIMITED	2.8	2.7	2.7	-12 bps	6%	-230bps
ALKEM	2.6	2.6	2.6	-2 bps	8%	-50bps
DR.REDDYS LABS	2.5	2.3	2.2	-25 bps	3%	-563bps
LA RENON HEALTHCA.	1.9	2.0	1.9	7 bps	11%	197bps
ICON LIFESCIENCES	1.6	1.8	1.9	31 bps	19%	1012bps
MANKIND	1.9	1.9	1.9	-4 bps	7%	-116bps
MICRO LABS	2.3	2.0	1.9	-41 bps	-2%	-1026bps
IPCA LABS	1.3	1.3	1.4	14 bps	14%	577bps
ARISTO PHARMA	1.4	1.4	1.4	4 bps	10%	148bps
JANSSEN	1.6	1.5	1.4	-19 bps	2%	-670bps
LINUX LAB	0.9	0.9	1.1	22 bps	21%	1285bps
MYLAN PHARMA	0.8	0.9	1.0	19 bps	20%	1156bps
ERIS LIFESCIENCES	1.1	1.1	1.0	-17 bps	0%	-842bps
UNIMED TECHNOLOGIE	0.8	0.8	0.9	18 bps	21%	1196bps
MACLEODS PHARMA	0.9	0.9	0.9	-2 bps	8%	-111bps
CADILA PHARMA	0.8	0.9	0.7	-7 bps	4%	-471bps
EISAI PHARMA	0.4	0.5	0.7	24 bps	35%	2592bps
TALENT	0.6	0.6	0.6	2 bps	10%	138bps
ZYDUS CADILA	0.7	0.6	0.6	-9 bps	2%	-702bps
EMCURE	0.7	0.7	0.6	-15 bps	-3%	-1201bps
Neuro IPM market					9%	

Source: Industry data, IIFL Research

Figure 39: Mankind, Alembic and Corona outperformed the IPM Gynaec market by growing at 7-12% Cagr over FY23-25, thereby gaining 30-40bps MS over FY23-25

Gynaec Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	over FY23-25 (bps)
MANKIND	10.1	10.4	10.4	36 bps	7%	189bps
EMCURE	9.2	8.6	8.3	-86 bps	0%	-503bps
SUN PHARMA	6.1	6.1	6.4	21 bps	7%	179bps
ABBOTT	5.3	5.2	4.9	-34 bps	2%	-346bps
ALEMBIC	4.0	4.3	4.3	37 bps	10%	479bps
FRANCO INDIAN	4.5	4.3	4.2	-32 bps	1%	-376bps
ZYDUS CADILA	4.3	4.1	3.9	-32 bps	1%	-404bps
INTAS PHARMA	3.7	4.1	3.9	13 bps	7%	183bps
LUPIN LIMITED	3.7	3.7	3.6	-15 bps	3%	-217bps
ALKEM	3.2	3.1	3.2	0 bps	5%	7bps
CORONA REMEDIES	2.2	2.4	2.5	30 bps	12%	709bps
PFIZER	2.6	2.5	2.4	-22 bps	1%	-466bps
ARISTO PHARMA	2.3	2.5	2.1	-16 bps	1%	-377bps
MACLEODS PHARMA	1.8	2.0	1.9	4 bps	6%	109bps
TORRENT PHARMA	1.6	1.5	1.7	3 bps	6%	101bps
CIPLA	1.7	1.6	1.6	-6 bps	3%	-195bps
PROC.&GAMB.HEALTH	1.5	1.4	1.5	-8 bps	2%	-285bps
MEDLEY PHARMA	1.4	1.4	1.5	2 bps	6%	90bps
SERUM INSTITUTE	1.4	1.4	1.5	9 bps	9%	346bps
BAYER ZYDUS PHARMA	1.5	1.4	1.4	-9 bps	2%	-305bps
AKUMENTIS HEALTH	1.3	1.3	1.3	2 bps	6%	63bps
ERIS LIFESCIENCES	1.3	1.4	1.3	0 bps	5%	-1bps
INTEGRACE HEALTH.	1.5	1.3	1.2	-37 bps	-8%	-1341bps
JAGSON PAL	1.4	1.2	1.1	-29 bps	-6%	-1128bps
CADILA PHARMA	1.1	1.1	1.1	1 bps	6%	47bps
Gynaec IPM market					5%	

Source: Industry data, IIFL Research

Figure 40: Zydus, AstraZeneca and Eli Lilly outperformed the IPM Antineoplastic market by growing at 28-50% Cagr over FY23-25, thereby gaining 80-180bps MS over FY23-25

Antineoplast Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	over FY23-25 (bps)
INTAS PHARMA	8.6	8.6	8.8	20 bps	19%	135bps
ZYDUS CADILA	7.3	7.8	8.5	124 bps	28%	964bps
NATCO PHARMA	4.9	4.8	5.5	54 bps	24%	631bps
ASTRAZENECA	3.1	4.1	4.9	185 bps	49%	3127bps
HETERO HEALTHCARE	4.2	4.5	4.5	34 bps	23%	470bps
EMCURE	4.5	4.0	4.5	2 bps	18%	27bps
IPCA LABS	4.4	4.2	4.4	2 bps	18%	29bps
RELIANCE LIFESCI.	3.8	3.4	4.2	41 bps	24%	613bps
SUN PHARMA	4.6	3.9	4.2	-38 bps	13%	-504bps
DR.REDDYS LABS	6.2	4.9	4.0	-225 bps	-6%	-2366bps
ELI LILLY	3.0	4.7	3.7	79 bps	33%	1483bps
CIPLA	4.8	4.9	3.6	-120 bps	2%	-1586bps
JANSSEN	2.6	3.2	3.2	65 bps	32%	1418bps
ERIS LIFESCIENCES	4.1	3.9	3.0	-110 bps	1%	-1698bps
SAMARTH PHARMA	2.8	2.9	2.8	5 bps	19%	106bps
MERCK SPECIALITIES	1.3	2.0	2.8	147 bps	72%	5392bps
NOVARTIS INTL.	3.8	3.0	2.8	-99 bps	1%	-1670bps
FRESENIUS KABI	2.7	2.5	2.7	1 bps	18%	28bps
BRISTOL-MYER SQUIB	1.9	1.8	2.1	11 bps	21%	329bps
RPG LIFE SCIENCES	2.4	2.4	2.0	-44 bps	7%	-1118bps
MANKIND	2.1	1.8	2.0	-12 bps	14%	-360bps
PFIZER	2.3	2.0	1.6	-70 bps	-2%	-2005bps
KHANDELWAL	0.8	1.2	1.2	42 bps	47%	2895bps
CELON LAB	1.1	1.3	1.1	-6 bps	15%	-319bps
MSD PHARMACEUTICA	0.4	0.7	1.0	54 bps	75%	5708bps
Antineoplast IPM market					18%	

Source: Industry data, IIFL Research

Figure 41: Sun, Cipla and Ipca outperformed the IPM Urology market by growing at 16-30% Cagr over FY23-25, thereby gaining 50-100bps MS over FY23-25

Urology Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	over FY23-25 (bps)
SUN PHARMA	12.6	13.3	13.3	70 bps	17%	313bps
CIPLA	11.9	11.8	12.4	47 bps	16%	220bps
MANKIND	12.7	12.1	11.2	-151 bps	7%	-696bps
INTAS PHARMA	7.2	7.2	7.2	-2 bps	14%	-17bps
FOURRTS INDIA	4.3	4.6	4.7	33 bps	18%	429bps
IPCA LABS	3.4	3.8	4.4	102 bps	30%	1610bps
DR.REDDYS LABS	3.8	4.0	4.1	28 bps	18%	404bps
LA RENON HEALTHCA.	3.9	3.8	3.9	-4 bps	13%	-55bps
MACLEODS PHARMA	3.4	3.7	3.6	25 bps	18%	417bps
HIMALAYA DRUG	3.5	3.1	3.0	-51 bps	5%	-865bps
MARTIN HARRIS	2.6	2.8	2.8	22 bps	18%	465bps
ARISTO PHARMA	2.4	2.5	2.7	21 bps	19%	481bps
INDOCO	2.4	2.2	2.1	-25 bps	8%	-608bps
STADMED PRIVATE	1.9	2.0	1.9	3 bps	15%	96bps
ALEMBIC	2.1	2.0	1.7	-44 bps	1%	-1240bps
AIMIL	1.9	1.7	1.5	-32 bps	4%	-1016bps
ALKEM	1.5	1.4	1.4	-15 bps	8%	-567bps
LUPIN LIMITED	1.4	1.4	1.3	-13 bps	8%	-543bps
OVERSEAS	1.0	1.0	1.1	5 bps	16%	259bps
ZYDUS CADILA	1.4	1.2	1.0	-40 bps	-4%	-1820bps
HETERO HEALTHCARE	1.2	1.0	0.9	-25 bps	1%	-1273bps
PFIZER	1.0	1.0	0.9	-15 bps	5%	-861bps
SAMARTH PHARMA	0.7	0.7	0.8	18 bps	28%	1436bps
MYLAN PHARMA	0.6	0.7	0.8	21 bps	32%	1806bps
MSN LABS	0.6	0.7	0.8	24 bps	36%	2238bps
Urology IPM market					14%	

Source: Industry data, IIFL Research

Figure 42: Ajanta, Sun, Entod and Intas outperformed the IPM Ophthal market by growing at 9-15% Cagr over FY23-25, thereby gaining 50-80bps MS over FY23-25

Ophthal Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	Value outperformance over FY23-25 (bps)
ABBVIE	13.5	11.9	12.3	-119 bps	2%	-482bps
AJANTA PHARMA	10.5	10.9	11.1	53 bps	9%	267bps
SUN PHARMA	9.8	9.9	10.6	81 bps	11%	434bps
CIPLA	8.0	8.2	7.3	-68 bps	2%	-465bps
ENTOD	6.4	6.5	7.1	72 bps	12%	587bps
JB PHARMA	5.2	4.6	4.9	-28 bps	4%	-288bps
INTAS PHARMA	3.9	4.3	4.5	63 bps	15%	841bps
MICRO LABS	5.1	4.9	4.3	-79 bps	-2%	-861bps
ALCON	3.8	3.9	4.3	51 bps	14%	703bps
SUNWAYS	3.9	4.0	3.8	-10 bps	5%	-137bps
MANKIND	2.6	2.8	2.7	5 bps	8%	105bps
FDC	2.8	2.7	2.5	-28 bps	1%	-550bps
ALEMBIC	1.7	1.9	2.0	36 bps	18%	1101bps
CENTAUR	2.0	2.1	2.0	0 bps	7%	6bps
INDOCO	2.0	1.9	1.8	-15 bps	3%	-411bps
LUPIN LIMITED	1.7	1.9	1.7	-2 bps	6%	-72bps
JAWA	1.2	1.2	1.2	-4 bps	5%	-178bps
GLENMARK PHARMA	1.1	1.1	1.2	3 bps	8%	131bps
DEY S	1.3	1.2	1.1	-15 bps	0%	-672bps
NULIFE	1.2	1.2	1.1	-13 bps	1%	-566bps
IPCA LABS	1.0	1.0	1.1	7 bps	11%	388bps
MYLAN PHARMA	0.5	0.7	0.9	36 bps	38%	3132bps
NEOMEDIX HEALTHCAR	0.9	0.9	0.8	-3 bps	5%	-200bps
DWD PHARMACEUTICAL	0.9	0.8	0.7	-16 bps	-3%	-1004bps
LINCOLN PHARMA	0.5	0.6	0.7	15 bps	21%	1466bps
Ophthal IPM market					7%	

Source: Industry data, IIFL Research

Figure 43: Abbott and Sun outperformed the IPM Hormones market by growing at 11-14% Cagr over FY23-25, thereby gaining 70-200bps MS over FY23-25

Hormones Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance Sales Cagr	Value outperformance over FY23-25 (bps)
ABBOTT	25.4	26.9	27.5	206 bps	11%	424bps
MACLEODS PHARMA	18.3	18.7	18.6	29 bps	7%	86bps
GLAXOSMITHKLINE	13.3	12.6	11.0	-227 bps	-3%	-953bps
PFIZER	8.4	6.7	7.0	-133 bps	-2%	-881bps
ZYDUS CADILA	6.8	6.3	6.2	-61 bps	2%	-489bps
SUN PHARMA	5.4	5.5	6.1	72 bps	14%	691bps
CADILA PHARMA	2.2	2.5	2.5	26 bps	13%	595bps
SAMARTH PHARMA	1.9	2.1	2.0	5 bps	8%	150bps
INTAS PHARMA	1.7	2.0	1.9	20 bps	13%	613bps
WALLACE	1.3	1.4	1.5	15 bps	12%	572bps
MANKIND	1.3	1.3	1.3	4 bps	8%	181bps
FERRING PHARMA	0.9	1.2	1.3	32 bps	23%	1674bps
WOCKHARDT LTD	1.5	1.3	1.2	-29 bps	-4%	-1068bps
EMCURE	0.9	1.0	1.2	21 bps	18%	1111bps
NEON LABS	1.1	1.2	1.1	2 bps	7%	87bps
JAGSON PAL	1.1	1.0	1.0	-14 bps	0%	-671bps
MERCK SPECIALITIES	0.6	0.6	0.8	29 bps	32%	2513bps
ARISTO PHARMA	0.4	0.5	0.5	5 bps	12%	588bps
CIPLA	0.4	0.4	0.4	-6 bps	-1%	-777bps
CELON LAB	0.2	0.3	0.3	9 bps	24%	1782bps
CORONA REMEDIES	0.2	0.3	0.3	7 bps	21%	1421bps
COMED CHEMICALS	0.3	0.3	0.3	-4 bps	0%	-698bps
UNITED BIOTECH	0.2	0.3	0.3	1 bps	10%	330bps
TROIKAA PHARMA	0.2	0.3	0.2	7 bps	26%	1907bps
DWD PHARMACEUTICAL	0.2	0.2	0.2	2 bps	10%	364bps
Hormones IPM market					7%	

Source: Industry data, IIFL Research

Figure 44: Dr. Reddy's (acquired portfolio from Sanofi), Abbott and Indian Immunologicals outperformed the IPM Vaccines market by growing at 24-43% Cagr over FY23-25, thereby gaining 90-360bps MS over FY23-25

Vaccines Value MS (%)	FY23	FY24	FY25	MS gains	FY23-25 Value outperformance	
					Sales Cagr	over FY23-25 (bps)
GLAXOSMITHKLINE	19.9	20.3	19.4	-48 bps	11%	-138bps
DR.REDDYS LABS	12.9	15.5	16.5	365 bps	28%	1503bps
PFIZER	10.7	10.3	11.5	75 bps	17%	390bps
ABBOTT	8.0	8.3	9.6	161 bps	24%	1083bps
MSD PHARMACEUTICA	7.4	7.5	8.2	72 bps	18%	537bps
SERUM INSTITUTE	8.8	7.9	7.9	-87 bps	7%	-575bps
BIOLOGICAL E	7.0	6.7	5.9	-113 bps	3%	-944bps
MANKIND	5.7	5.3	5.2	-47 bps	8%	-473bps
BHARAT BIOTECH	4.5	4.0	4.0	-57 bps	5%	-738bps
INDIAN IMMUNOLOGI.	1.5	1.8	2.5	94 bps	43%	3020bps
RELIANCE LIFESCI.	5.8	4.6	2.0	-372 bps	-33%	-4561bps
ZYDUS CADILA	1.8	1.9	2.0	22 bps	19%	660bps
INTAS PHARMA	1.2	1.8	1.7	48 bps	33%	1999bps
PANACEA BIOTEC	1.8	1.4	1.1	-74 bps	-13%	-2604bps
ERIS LIFESCIENCES	0.5	0.7	0.8	31 bps	43%	3063bps
SUN PHARMA	0.7	0.7	0.6	-11 bps	4%	-878bps
NOVO MEDISCIENCES	0.9	0.7	0.4	-51 bps	-25%	-3789bps
EMCURE	0.3	0.1	0.2	-7 bps	-3%	-1588bps
CADILA PHARMA	0.1	0.2	0.1	-1 bps	9%	-355bps
LUPIN LIMITED	0.0	0.1	0.1	9 bps	156%	14335bps
SAMARTH PHARMA	0.1	0.1	0.1	3 bps	36%	2270bps
BIO MED	0.1	0.0	0.1	-1 bps	4%	-840bps
PAVIOUR PHARMA	0.0	0.0	0.0	1 bps	26%	1343bps
FUSION HEALTHCARE	0.0	0.0	0.0	-1 bps	-88%	-10080bps
INDIABULLS PHARMA	-	-	0.0	0 bps	na	na
Vaccines IPM market					13%	

Source: Industry data, IIFL Research

Figure 45: IIFL's Pharma Valuation matrix – We prefer the Domestic Pharma names over Export Pharma players. Our top-picks in the Domestic Pharma pack are JB Pharma, Torrent Pharma and Mankind, while amongst the Export Pharma pack are Sun Pharma, Lupin and Aurobindo. We would be cautious on most Export Pharma stocks, particularly Dr. Reddy's and Zydus/Cipla, for whom Revlimid accounts for 55-60% and 25-30% resp. of FY25ii earnings

Company name	CMP (Rs)	Mkt-Cap (US\$ m)	Reco	TP (Rs)	Upside/ Downside	Diluted EPS excl exceptionals				FY25-27ii EPS Cagr	PE(x)			EV/EBITDA (x)		
						FY24	FY25ii	FY26ii	FY27ii		FY25ii	FY26ii	FY27ii	FY25ii	FY26ii	FY27ii
Sun Pharma	1,747	48,922	BUY	2155	23%	42.0	48.8	54.7	62.9	14%	35.8	31.9	27.8	26.7	24.7	22.2
Lupin	2,047	10,896	ADD	2300	12%	40.9	71.1	96.5	92.8	14%	28.8	21.2	22.1	17.5	13.9	14.9
Dr. Reddy's	1,175	11,440	REDUCE	1225	4%	66.8	65.9	68.9	51.8	-11%	17.8	17.0	22.7	10.7	10.3	13.7
Aurobindo	1,188	8,049	BUY	1590	34%	57.4	62.4	77.0	86.1	17%	19.0	15.4	13.8	9.9	8.5	7.9
Cipla	1,528	14,401	ADD	1625	6%	52.9	60.6	60.6	66.4	5%	25.2	25.2	23.0	15.7	15.9	15.2
Zydus Lifesciences	853	10,012	ADD	1060	24%	38.3	47.3	50.5	40.9	-7%	18.0	16.9	20.8	11.6	11.0	14.0
Gland Pharma	1,451	2,788	ADD	1650	14%	46.8	45.7	63.4	80.3	32%	31.7	22.9	18.1	16.2	12.9	10.9
Divi's Labs	5,912	18,312	REDUCE	5500	-7%	61.0	82.0	96.2	118.6	20%	72.1	61.4	49.8	51.5	42.3	34.8
Sai Life Sciences	707	1,716	BUY	825	17%	4.4	7.9	12.3	15.2	39%	89.7	57.4	46.7	36.6	28.6	23.3
Torrent Pharma	3,246	12,821	BUY	4020	24%	46.9	59.5	74.1	91.4	24%	54.5	43.8	35.5	29.0	25.6	22.6
Mankind Pharma	2,580	12,238	BUY	2850	10%	47.8	48.7	53.8	65.0	16%	53.0	47.9	39.7	34.2	27.4	23.8
Glenmark Pharma	1,391	4,580	ADD	1650	19%	(3.5)	49.1	60.4	73.1	22%	28.4	23.0	19.0	16.0	13.6	11.7
Alkem	5,014	6,995	ADD	5700	14%	160.4	183.7	200.2	203.5	5%	27.3	25.0	24.6	21.8	19.8	17.2
Biocon	334	4,676	REDUCE	330	-1%	1.2	(0.6)	5.3	8.4	NA	NA	63.4	39.9	18.4	14.3	11.7
Alembic Pharma	856	1,963	BUY	1060	24%	31.3	29.0	40.2	52.9	35%	29.5	21.3	16.2	17.1	13.3	11.2
IPCA	1,444	4,273	REDUCE	1500	4%	24.8	35.9	44.7	55.2	24%	40.3	32.3	26.1	21.1	17.3	14.6
JB Pharma	1,656	2,999	BUY	2300	39%	35.2	41.6	52.9	65.9	26%	39.8	31.3	25.1	22.9	19.7	17.0
Eris Lifesciences	1,399	2,221	BUY	1550	11%	30.4	25.8	35.8	47.7	36%	54.2	39.0	29.3	19.8	17.5	15.2
Abbott India	31,015	7,690	SELL	28500	-8%	565.3	650.7	755.7	871.0	16%	47.7	41.0	35.6	36.9	32.1	28.7
Sanofi India	6,367	1,711	REDUCE	5800	-9%	150.6	152.6	176.1	210.9	18%	41.7	36.2	30.2	28.5	24.1	21.1

Source: Company, IIFL Research

Figure 46: Ex-Revlimid valuations for key Export Pharma players

Company name	Diluted EPS excl exceptionals				FY25-27ii EPS Cagr	PE(x)		
	FY24	FY25ii	FY26ii	FY27ii		FY25ii	FY26ii	FY27ii
Sun Pharma	42.0	48.8	54.7	62.9	14%	35.8	31.9	27.8
Sun - Revlimid	2.3	2.6	2.5	0.5	-56%			
Sun - Base biz	39.7	46.2	52.2	62.4	16%	37.4	33.1	27.7
Dr. Reddy's	66.8	65.9	68.9	51.8	-11%	17.8	17.0	22.7
Dr. Reddy's - Revlimid	29.8	37.0	30.9	1.4	-80%			
Dr. Reddy's - Base biz	37.0	28.9	38.0	50.3	32%	39.7	30.2	22.8
Cipla	52.9	60.6	60.6	66.4	5%	25.2	25.2	23.0
Cipla - Revlimid	10.4	13.7	10.6	1.3	-69%			
Cipla - Base biz	42.5	47.0	50.0	65.0	18%	32.3	30.3	23.3
Zydus	38.3	47.3	50.5	40.9	-7%	18.0	16.9	20.8
Zydus - Revlimid	8.1	12.0	13.1	0.6	-78%			
Zydus - Base biz	30.2	35.3	37.4	40.3	7%	23.9	22.5	20.9
Aurobindo	57.4	62.4	77.0	86.1	17%	19.0	15.4	13.8
Aurobindo - Revlimid	3.8	5.3	6.8	1.5	-47%			
Aurobindo - Base biz	53.6	57.1	70.2	84.6	22%	20.7	16.8	14.0

Source: Company, IIFL Research

Figure 47: Ex-amortisation valuations for key Domestic Pharma players

Company name	Diluted EPS excl exceptionals				FY25-27ii EPS Cagr	PE(x)		
	FY24	FY25ii	FY26ii	FY27ii		FY25ii	FY26ii	FY27ii
Torrent	46.9	59.5	74.1	91.4	24%	54.5	43.8	35.5
Amortisation impact	11.2	11.2	11.2	11.2				
Torrent - Ex amortisation	58.2	70.8	85.4	102.6	20%	45.9	38.0	31.6
Mankind	47.8	48.7	53.8	65.0	16%	53.0	47.9	39.7
Amortisation impact	2.8	5.0	9.2	8.8				
Mankind - Ex amortisation	50.6	53.7	63.0	73.9	17%	48.1	40.9	34.9
JB Pharma	35.2	41.6	52.9	65.9	26%	39.8	31.3	25.1
Amortisation impact	2.9	3.6	3.6	3.6				
JB - Ex amortisation	38.1	45.2	56.5	69.5	24%	36.6	29.3	23.8
Eris Lifesciences	30.4	25.8	35.8	47.7	36%	54.2	39.0	29.3
Amortisation impact	7.0	11.3	11.6	11.9				
Eris - Ex amortisation	37.4	37.2	47.4	59.6	27%	37.6	29.5	23.5
Alkem	160.4	183.7	200.2	203.5	5%	27.3	25.0	24.6
Ipca	24.8	35.9	44.7	55.2	24%	40.3	32.3	26.1

Source: Company, IIFL Research

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Key to our recommendation structure

BUY - Stock expected to give a return 10%+ more than average return on a debt instrument over a 1-year horizon.

SELL - Stock expected to give a return 10%+ below the average return on a debt instrument over a 1-year horizon.

Add - Stock expected to give a return 0-10% over the average return on a debt instrument over a 1-year horizon.

Reduce - Stock expected to give a return 0-10% below the average return on a debt instrument over a 1-year horizon.

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